
MODULE 10

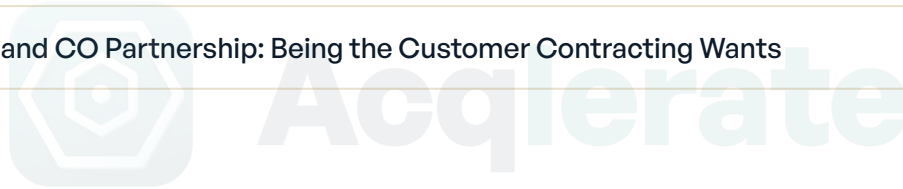
From Need to RFP: The Government Pre-Award Process

How a government requirement becomes a signed contract: the timeline, acquisition planning, market research, writing the PWS, the IGCE, J&As and D&Fs, services acquisition, contract type and vehicle selection, the solicitation and evaluation plan, and the PM-CO partnership that makes it move.



Course Lessons

01	From Validated Need to Award: The Pre-Award Timeline	23 min
02	Acquisition Planning: The Strategy Document That Decides Everything After It	24 min
03	Market Research: The Evidence Every Acquisition Decision Rests On	23 min
04	Writing the Requirement: SOW, PWS, and SOO	27 min
05	The Independent Government Cost Estimate	24 min
06	J&As, D&Fs, and the Approvals That Gate an Award	24 min
07	Services Acquisition: How DoD Buys the Work That Is Most of Its Spending	24 min
08	Choosing Contract Type and Vehicle: The Government's Decision	24 min
09	Building the Solicitation and the Evaluation Plan	26 min
10	The PM and CO Partnership: Being the Customer Contracting Wants	22 min



From Validated Need to Award: The Pre-Award Timeline

23 min

Why it takes a year or more to get from "we need this" to a signed contract, and what happens in each of those months. The phases, the documents, the people, the approvals, the Procurement Administrative Lead Time everyone complains about, and the places a program manager can actually make it faster.

Why "Just Buy It" Takes a Year

A new government program manager learns quickly that identifying a need and getting a contractor on the job are separated by a long, structured process with many hands on it. Contractors learn the same thing from the outside: the sources sought they answered in January becomes an RFP in September and an award the following spring. This lesson lays out the whole path from validated need to award, what happens in each phase, who owns it, and where the time goes. The lessons that follow go deep on each piece. The point of this one is the map.

IN PLAIN TERMS

Think of a kitchen remodel. The contractor's schedule does not start when you decide the kitchen is ugly. It starts when the design is final, the permit is approved, and the loan has closed. Most remodels that run late lost their time before the contractor ever showed up, while the homeowner was still changing the plans. Pre-award works the same way: contracting's clock starts when it receives a complete package, and most avoidable delay happens before that.

The Pre-Award Phases

PHASE	WHAT HAPPENS	WHO LEADS	TYPICAL OUTPUT	TYPICAL DURATION
1. Need validation	The requirement is approved through the organization's process (the military service's requirements process for major capabilities, which replaced joint JCIDS validation in August 2025; a commander's approval for installation needs)	Requiring activity	Validated requirement; funding identified	Weeks to years, depending on the process
2. Acquisition planning	Strategy decided: what to buy, how to compete, contract type, vehicle, small business approach, schedule; acquisition plan written if required	PM with CO	Acquisition plan or strategy; approvals	1 to 3 months
3. Market research	Sources sought, RFIs, industry day, database research; commercial determination; set-aside analysis	PM and CO with small business specialist	Market research report	1 to 3 months (overlaps with planning)
4. Requirement definition	SOW, PWS, or SOO written; CDRs; QASP; IGCE built; evaluation criteria drafted	PM (technical) with CO (contractual)	Complete requirements package	2 to 4 months
5. Package review and approvals	Legal review, small business coordination, J&A if sole source, D&Fs, peer reviews at thresholds, clearance to solicit	CO with reviewers	Approved solicitation	1 to 3 months
6. Solicitation	Draft RFP (optional), final RFP released, questions and answers, amendments, proposal preparation time	CO	Proposals received	1 to 3 months
7. Evaluation and award	Technical and price evaluation, competitive range, discussions, final revisions, source selection decision, award, debriefs	Source selection team under the SSA; CO	Signed contract	2 to 6 months

Where the Time Actually Goes

Add the phases and a competitive services award above the simplified threshold lands between nine and eighteen months from validated need to award. Contracting offices track the part they own, PALT, from a complete package to award, and it is commonly six to twelve months for complex competitive actions. The part before that, getting to a complete package, is owned by the requiring activity and is where most of the avoidable delay lives: requirements that arrive incomplete, IGCEs that do not match the SOW, funding that is not yet available, market research that was never done. A contracting officer's honest answer to "why is it taking so long" is often "because the package went back three times."

EXAMPLE (ILLUSTRATIVE)

Program X needs a competitive services contract. Acquisition planning and market research run together and take 3 months. Writing the PWS (performance work statement), the IGCE (independent government cost estimate), and the evaluation criteria takes 3 more. Package review and approvals take 2, solicitation takes 2, and evaluation and award take 4. Total: $3 + 3 + 2 + 2 + 4 = 14$ months from validated need to award. The contracting office's share, PALT (procurement administrative lead time, from complete package to award), is $2 + 2 + 4 = 8$ months. Now suppose the package goes back three times for fixes, three weeks each. That is $3 \times 3 = 9$ more weeks, roughly two months, and every one of them sits on the program office's side of the line.

THE CLOCK STARTS WHEN THE PACKAGE IS ACTIONABLE

The contracting office does not start the clock when you decide you need something. It starts when it receives a package it can act on. Every week the package spends going back and forth for corrections is a week added to award. The fastest way to shorten an acquisition is to hand contracting a package that does not come back: a clear requirement, an IGCE that matches it, market research that supports the strategy, and funding that is real. That is entirely within the PM's control.

The Requirements Package: What "Complete" Means

Contracting offices publish checklists. They vary, but the core is stable.

- **The requirement** SOW, PWS, or SOO, with CDRLs and, for performance-based work, the QASP. Reviewed for clarity, testability, and the absence of personal services or inherently governmental functions.
- **The IGCE** An independent government cost estimate built to the same structure as the requirement, with the basis for every number.
- **Market research** The report showing what was done, who responded, and what it means for set-aside, commerciality, and contract type.
- **Funding** A purchase request with the right appropriation, in the right amount, for the right fiscal year, certified by the comptroller. Nothing moves without it.
- **Justifications and determinations** J&A if not full and open; D&Fs for contract type, options, or other choices that require them; the small business coordination record.
- **Evaluation input** Draft evaluation factors, proposed source selection approach, and the technical evaluators identified.
- **Special requirements** Security (DD 254 if classified; CUI identification), data rights strategy, government-furnished property list, Section 508, environmental, and any program-specific items.

The People in the Process

The requiring activity owns the need: the program manager, the technical lead, the resource manager who finds the money, and the COR-designate who will administer the contract after award. The contracting

office owns the acquisition: the contracting officer, the contract specialist who does much of the daily work, the small business specialist, and the legal advisor. Above both sit reviewers: the competition advocate, peer review boards at DoD dollar thresholds, and for major programs the milestone decision authority. Contractors are participants in the early phases (market research, industry days, draft RFP comments) and become offerors once the solicitation is out. Understanding who owns each step is most of what it takes to move a package through.

One sentence to teach your team: **pre-award is a sequence of owned phases, the requiring activity owns everything up to a complete package, contracting owns everything after, and the delays that can be cut are almost all in the first half.**

INTERMEDIATE

Compressing the Timeline: What Actually Works

Some compression techniques are real and some are folklore. Real: starting market research and the draft requirement before the need is fully validated, so the package is nearly ready when the money arrives. Real: releasing a draft RFP for industry comment, which surfaces problems before they become amendments and protests. Real: using an existing contract vehicle with fair opportunity, which removes the full source selection cycle. Real: parallel review (legal, small business, and pricing reviewing at once rather than in sequence), if the contracting office will do it. Real: a complete package on the first submission. Folklore: telling the CO it is urgent. Urgency without a documented basis changes nothing; a documented urgency justification can support a limited competition, but that is a different acquisition, not a faster one.

Fiscal Year Timing: The Calendar Nobody Escapes

Government money has a life cycle, and pre-award has to fit it. Operations and maintenance funds expire at the end of the fiscal year, September 30, so a services requirement funded with current-year O&M must be awarded by then or the money is gone. Contracting offices are overwhelmed in the fourth quarter for exactly this reason. Procurement and RDT&E funds last longer, but each has its own expiration. A PM planning an award should work backward from the funding's expiration and the contracting office's fourth-quarter cutoff dates (most offices publish a date after which new packages will not be accepted for current-year award) and then add the PALT. Requirements that arrive in July for September award are the ones that become bridge contracts and continuing-resolution casualties.

Backward Planning From an Award Date

MILESTONE	TYPICAL LEAD BEFORE AWARD	NOTES
Funding certified and PR submitted	9 to 12 months	The PR often cannot be issued until funds are actually available, which may be after October 1 or after a continuing resolution ends
Complete package to contracting	8 to 12 months	The PALT clock starts here
Market research complete	10 to 14 months	Sources sought responses drive the set-aside decision and the strategy
Requirement drafting started	12 to 16 months	Start before validation if the need is likely
Solicitation released	4 to 6 months	After approvals; 30 to 60 days for proposals on complex work
Proposals received	3 to 5 months	Evaluation, discussions, and award follow

What Contractors Should Take From the Timeline

For a contractor, the timeline says where to be and when. The sources sought stage (month 10 to 14 before award) is the shaping window: capability is judged and the set-aside decision is influenced there. The draft RFP stage is the last chance to comment on requirements and evaluation criteria. Once the final RFP is out, the requirement is fixed and contact runs through the CO. And a contractor watching the fiscal calendar knows that a package which has not reached contracting by early summer will not be awarded that fiscal year, whatever the government says at the industry day.

ADVANCED

Major Programs: Where Milestones and Contracts Meet

On programs under the major capability acquisition pathway, contract award for a phase is gated by the milestone decision that authorizes the phase. The acquisition strategy is approved before Milestone B, and the engineering and manufacturing development contract is awarded after it. That means the pre-award process for a major contract runs in parallel with the milestone preparation, and the two schedules must align: the RFP cannot be released until the strategy is approved, and the award cannot happen until the milestone is passed. Program managers on major programs manage two critical paths at once, and the common failure is a milestone review that slips while the source selection team waits with proposals in hand and offerors' prices going stale.

Peer Reviews and Clearance Thresholds

DoD requires independent peer reviews of solicitations and source selections above dollar thresholds (the largest at the department level, others at the component level), at three points: before the solicitation is released, before discussions, and before award. Below the peer review thresholds, most contracting activities have their own business clearance or review boards. Each review is a scheduled event with a

preparation period, and each can send the action back. Senior PMs learn the review calendar for their activity and build the reviews into the schedule as milestones with their own preparation time, rather than discovering that the solicitation must wait three weeks for the next board.

Where Pre-Award Actions Stall

The recurring causes, from contracting offices' own reviews.

The requirement is not ready PACKAGE

Vague SOW, untestable standards, missing CDRLs, or scope that changes after submission.

Each return trip adds weeks. The Requirements Writing lesson covers what "ready" looks like.

Funding is not real MONEY

A PR without certified funds, or funds of the wrong color or year.

Contracting cannot solicit what it cannot fund. Confirm with the resource manager before the package goes.

Market research contradicts the strategy RESEARCH

Two capable small firms responded and the package proposes full and open, or the reverse.

The small business specialist will non-concur. Reconcile before submission.

The J&A is weak COMPETITION

A sole-source justification based on preference rather than a statutory exception.

The competition advocate rejects it. The J&A lesson covers what survives review.

Review calendars APPROVALS

Legal, peer review, or clearance boards meet on a schedule the plan did not account for.

Build them in as milestones.

WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY

They start the requirement and the market research before the need is formally validated. They hand contracting a package that does not come back. They plan backward from funding expiration and the contracting office's fourth-quarter cutoff. They align milestone and source selection schedules on major programs. And they treat the contracting officer as the partner who can make or break the schedule, which is what the CO is.

BUILD ON THIS

- **The PM and CO Partnership** How to be the customer contracting wants
- **The Acquisition Lifecycle** Where pre-award sits in the program lifecycle
- **The BD-to-Capture Lifecycle** The same timeline from the contractor's side

Key Terms

Pre-Award

Everything between the decision that a requirement exists and the signature on the contract. Planning, market research, requirement definition, solicitation, evaluation, and award.

Procurement Administrative Lead Time (PALT)

The time from a complete requirements package reaching the contracting office to contract award. DoD tracks it; for competitive awards above the simplified threshold it is commonly measured in many months.

Requirements Package

The set of documents the program office hands the contracting office to start an acquisition: the requirement (SOW, PWS, or SOO), the IGCE, market research, funding, and the supporting justifications and forms.

Purchase Request (PR)

The formal document committing funds and requesting the contracting office to buy something. Also called a procurement request or requisition. Nothing starts without it.

Acquisition Plan

The written plan required above certain thresholds describing what is being bought, how, why, when, and with what risks. Covered in its own lesson.

Solicitation

The formal request to industry: a request for proposals (RFP), request for quotations (RFQ), or invitation for bids (IFB). Its release fixes the requirement and starts the competitive clock.

Source Selection

The evaluation of proposals and the award decision. Covered from both sides elsewhere in the platform; here it is the last phase of pre-award.

Milestone Decision

For major programs, the formal review that authorizes entry into the next acquisition phase. Contract award often follows a milestone decision and cannot precede it.

Contracting Officer (CO)

The only person who can obligate the government. Owns the solicitation, the evaluation process, and the award. The PM's essential partner in pre-award.

Requiring Activity

The organization with the need: the program office, the installation, the command. Owns the requirement, the funding, and the IGCE; the contracting office owns the acquisition.

Knowledge Check

When does the contracting office's PALT clock start?

- A. When the PM identifies the need
- ✓ **B. When a complete requirements package reaches the contracting office**
- C. When the solicitation is released
- D. At the start of the fiscal year

WHY

PALT measures the contracting office's time from a complete, actionable package to award.

Which phase is owned by the requiring activity rather than the contracting office?

- A. Solicitation release
- B. Evaluation and award
- ✓ **C. Requirement definition and the IGCE**
- D. Contract signature

WHY

The requiring activity owns the need, the requirement, the IGCE, and the funding. Contracting owns the acquisition after the package arrives.

Where does most avoidable pre-award delay occur?

- A. In the evaluation phase
- ✓ **B. Before a complete package reaches contracting: incomplete requirements, mismatched IGCEs, unready funding**
- C. In contract signature
- D. In debriefs

WHY

Packages that go back for correction add weeks each time. The PM controls this.

Which of these is a real technique for compressing the timeline?

- A. Telling the CO it is urgent
- ✓ **B. Releasing a draft RFP for industry comment**
- C. Skipping market research
- D. Submitting the package before funding is identified

WHY

Draft RFPs surface problems early. Urgency without a documented basis changes nothing.

A services requirement is funded with current-year O&M. What is the hard deadline for award?

- A. December 31
- ✓ **B. September 30, the end of the fiscal year**
- C. The following March
- D. There is none

WHY

O&M funds expire at fiscal year end. Contracting offices set fourth-quarter cutoff dates for new packages accordingly.

Which document commits funds and formally asks the contracting office to buy?

- A. The SOW
- ✓ **B. The purchase request**
- C. The IGCE
- D. The J&A

WHY

Nothing starts without a PR with certified funds of the right appropriation, amount, and year.

On a major capability program, when is the EMD contract awarded relative to Milestone B?

- A. Before Milestone B
- ✓ **B. After Milestone B authorizes the phase**

C. Independently of milestones

D. At Milestone C

WHY

Contract award for a phase follows the milestone decision that authorizes it, so the two schedules must align.

DoD peer reviews of large solicitations and source selections occur at which points?

- A. Only at award
- ✓ **B. Before solicitation release, before discussions, and before award**

C. Only during market research

D. After debriefs

WHY

Three peer review points at dollar thresholds; below them, activity-level clearance boards apply.

For a contractor, which stage is the shaping window?

- A. After final RFP release
- ✓ **B. The sources sought and draft RFP stages, roughly 10 to 14 months before award**

C. During evaluation

D. After award

WHY

Capability is judged and the set-aside decision influenced during market research; after the final RFP the requirement is fixed.

Order the pre-award phases:

CORRECT ORDER

1. Need validation
2. Acquisition planning
3. Market research
4. Requirement definition and IGCE
5. Package review and approvals
6. Solicitation
7. Evaluation and award

WHY

Need validation, planning, market research, requirement definition, reviews and approvals, solicitation, evaluation and award.

Match the role to what it owns:

CORRECT MATCHES

Program manager	The requirement, the IGCE, the technical evaluators
Contracting officer	The solicitation, the evaluation process, the award
Resource manager	Certified funding and the purchase request
Small business specialist	Review of the set-aside analysis

WHY

The PM owns the requirement and IGCE; the CO owns the solicitation and award; the resource manager owns funding; the small business specialist reviews the set-aside analysis.

A package reaches contracting in July for a September O&M-funded award of a complex competitive services contract. What is the likely outcome?

A. Award on schedule

✓ B. It will not be awarded that fiscal year; expect a bridge contract or lost funds

C. Automatic sole source

D. Immediate peer review

WHY

PALT for complex competitive actions is months. July is too late for September award; planning must work backward from the cutoff.

Acquisition Planning: The Strategy Document That Decides Everything After It

24 min

FAR Part 7 and the DoD acquisition strategy. When a written plan is required, what goes in it, who approves it, how the decisions in it (competition, contract type, vehicle, small business, data rights, schedule) constrain the rest of the acquisition, and how a PM writes one that survives review and actually guides the program.

The Document That Makes the Decisions

Everything that happens later in an acquisition, the competition approach, the contract type, the vehicle, the evaluation method, the data rights, the small business posture, the schedule, is decided in acquisition planning. The rest of pre-award executes those decisions. That is why FAR Part 7 requires planning for every acquisition and a written plan above thresholds, and why DoD adds an acquisition strategy for programs. A PM who treats the plan as a form to fill in gets default decisions and discovers their consequences at award. A PM who treats it as the strategy document it is makes the decisions deliberately, with the CO, while they are still cheap to change.

IN PLAIN TERMS

Think of building a house. Moving a wall on the floor plan costs an eraser. Moving it after the foundation is poured costs a jackhammer and a month. The big choices (how many rooms, where the plumbing runs, one story or two) are made on paper, and construction just carries them out. The acquisition plan is the floor plan: competition, contract type, vehicle, evaluation method, and data rights are cheap to change there and expensive to change after award.

When a Written Plan Is Required

The FAR requires acquisition planning for all acquisitions and leaves the written-plan thresholds to agencies. DoD's thresholds (in DFARS 207.103) require a written acquisition plan for development acquisitions above one dollar level and for production or services above higher levels measured by total value or by value in any single fiscal year; verify the current figures. Below those, many contracting activities require a streamlined plan or a memorandum covering the key decisions. Above them, the full FAR 7.105 format applies, and the approval authority rises with dollar value, reaching the senior procurement executive for the largest actions. For programs on the major capability pathway, the acquisition strategy approved by the MDA is the governing document and the acquisition plan for each contract is derived from it.

What Goes in a Written Acquisition Plan (FAR 7.105)

PART	SECTION	WHAT IT ANSWERS
Background	Statement of need	What is being acquired and why; history of prior acquisitions; what happens if it is not acquired
Background	Applicable conditions	Constraints: compatibility with existing systems, schedule drivers, urgency, environmental, security
Background	Cost	Life-cycle cost, design-to-cost, should-cost targets, the IGCE
Background	Capability or performance	The required capability in performance terms
Background	Delivery or performance-period requirements	When it is needed and why; the basis for the schedule
Background	Trade-offs	Between cost, capability, and schedule
Background	Risks	Technical, cost, schedule; and what the plan does about them
Plan of action	Sources	Who can perform; market research results; small business analysis
Plan of action	Competition	How it will be competed; if not full and open, the basis; subcontract competition
Plan of action	Contract type	The type and why; any D&F required
Plan of action	Source selection procedures	Tradeoff or LPTA; evaluation factors; source selection organization
Plan of action	Acquisition considerations	Vehicle, options, multi-year, leasing, bundling analysis, data rights, government-furnished property, security, and more
Plan of action	Budgeting and funding	Where the money is, by year and appropriation
Plan of action	Milestones	The acquisition schedule from plan approval to award and beyond
Plan of action	Participants	Who is on the team and who approves

The Five Decisions That Matter Most

The plan has many sections, and five of them constrain everything downstream. Competition: full and open, set-aside, or limited, and the market research that supports it. Contract type: who carries the cost risk, and whether the requirement is defined well enough for fixed price. Vehicle: a new standalone contract, an order under an existing IDIQ or GWAC, or a task order under an agency vehicle; each has a different timeline and competition rule. Source selection approach: tradeoff or lowest price technically acceptable, and the evaluation factors, which determine what industry proposes. Data rights and sustainment: what the

government will need to compete the work later, decided now. A PM who gets these five right with the CO has done the hard part of the plan.

EXAMPLE (ILLUSTRATIVE)

A program office plans a three-year help desk support requirement and works through the five decisions with the CO (contracting officer). Competition: the sources sought drew three small firms that have run help desks at this scale, so the plan supports a small business set-aside. Contract type: the outcomes are stable and measurable, so firm-fixed-price. Vehicle: the agency's existing IDIQ (indefinite delivery, indefinite quantity contract) covers help desk work and has capable small business holders, so an order rather than a new contract. Source selection: a tradeoff, because response quality matters. Data rights: the plan states the government will own the ticket history and knowledge base, so the next recompetes is not locked to the winner. Each choice traces to evidence, and each is written down with its reason.

WRITE THE ACQUISITION PLAN IN THE SAME ROOM

The acquisition plan is where the contracting officer and the program manager either become a team or do not. A PM who writes the technical sections and hands the rest to contracting gets a contract strategy chosen by someone who does not know the program. A CO who writes the whole plan gets a requirement they do not understand. The plans that work are written together, in a room, with the market research on the table.

Why Plans Get Rejected

- **Competition section does not match market research** Two capable small firms responded to the sources sought and the plan says full and open. The small business specialist and competition advocate both non-concur.
- **Contract type without a rationale** "Cost-plus-fixed-fee" with no discussion of why the requirement cannot be fixed-price. DoD policy prefers fixed price where the risk allows; the plan must say why it does not.
- **Schedule that ignores review calendars and PALT** An award date four months after plan approval for a complex competitive action.
- **Funding that is not identified** "Funds will be provided" is not a funding section.
- **Bundling or consolidation without the required analysis** Combining requirements previously performed separately triggers a determination the plan must include.
- **Data rights left to the default** No statement of what the government will need for sustainment and how it will get it.

One sentence to teach your team: **the acquisition plan is where competition, contract type, vehicle, evaluation method, and data rights get decided, and everything after it is execution of those choices, so make them on purpose and with the CO.**

Acquisition Plan vs. Acquisition Strategy in DoD

The two terms are used loosely and mean different things. The acquisition strategy is the program-level document, approved by the MDA, describing the whole business and technical approach across phases: how the program will be structured, competed, contracted, sustained, and managed, with the risk and should-cost analysis. The acquisition plan is the FAR Part 7 document for a specific contract action within that strategy. On a major program, the strategy is approved before Milestone B and the EMD contract's acquisition plan implements it. On a services acquisition with no program structure, there may be only an acquisition plan. PMs on programs write the strategy with the program office team; PMs on standalone services requirements write the plan with the CO. Both must agree with each other where both exist.

Contract Type: The Reasoning the Plan Has to Show

The Contract Types lesson in the Contracting module explains the spectrum. The acquisition plan has to justify the choice. The reasoning runs: how well is the requirement defined (well-defined work supports fixed price); how much cost uncertainty exists and who is better placed to manage it; what the market will accept (some work will get no bidders at fixed price); what incentive structure aligns the contractor with the outcome; and what administrative capacity the government has (cost-type contracts require surveillance the government must be able to perform). DoD policy expects fixed-price where feasible and requires a D&F for T&M and for some other types. A plan that picks cost-plus for a well-defined recurring service, or fixed-price for undefined development, will be challenged, and should be.

Vehicle Choice in the Plan

OPTION	TIMELINE	COMPETITION	WHEN IT FITS
New standalone contract	Longest: full source selection	Full and open or set-aside per the Rule of Two	Unique requirement; long duration; no suitable vehicle
Order under an agency IDIQ (MAC)	Shorter: fair opportunity among holders	Limited to vehicle holders	Requirement within the vehicle's scope; holders are capable
Order under a GWAC or GSA vehicle	Shorter; may involve GSA assisted acquisition	Limited to vehicle holders; set-aside possible if small holders exist	IT and professional services; when the agency lacks its own vehicle
8(a) or other sole source	Shortest	None	Eligible firm identified; within thresholds; requirement suited
Other transaction or commercial solutions opening	Variable	Competitive but non-FAR	Prototyping; non-traditional sources; covered in the Foundations module

Should-Cost and the Plan

DoD expects program managers to set should-cost targets below the independent cost estimate and to identify specific initiatives to reach them: competing a component, changing a contract type, negotiating a rate, restructuring a test program. The acquisition strategy documents these, and the acquisition plan for each contract shows how it contributes. The Cost Estimating lesson covers should-cost versus will-cost; here the point is that the plan is where should-cost stops being a slogan and becomes a list of actions with owners.

ADVANCED

Planning for Sustainment While Buying Development

The most expensive acquisition decisions are the ones that determine who can compete the sustainment. A plan that buys development without securing data rights, without a modular architecture, without government-owned interfaces, and without a sustainment strategy has locked in a sole-source tail for decades. Senior PMs write the sustainment section of the acquisition strategy with as much care as the development section: what the government will own, what data it will order and with what rights, how depot and contractor logistics will be split, and how components will be competed. The Data Rights lesson in the Compliance module explains the mechanics. The acquisition plan is where the mechanics are decided.

Approvals and the Competition Advocate

Written acquisition plans are approved at levels that rise with dollar value, and reviewed by the competition advocate, legal counsel, the small business specialist, and at DoD thresholds by peer review. The competition advocate's role is to challenge anything that limits competition: a sole-source approach, restrictive specifications, bundling, an unnecessary vehicle restriction. A PM who anticipates the advocate's questions in the plan (why this approach maximizes competition, what alternatives were considered, why they were rejected) gets approval faster. One who submits a plan that assumes the answer gets it back with questions.

Writing a Plan That Survives Review

From PMs and COs who have taken many through.

Start with the market research **EVIDENCE**

Every decision in the plan should trace to what the market said.

A plan written before market research is a plan that will be rewritten.

Write the competition section for the advocate **COMPETITION**

State what maximizes competition, what alternatives were considered, and why the choice was made.

If the answer is sole source, the J&A logic belongs here in summary.

Justify the contract type in risk terms TYPE

Requirement definition, cost uncertainty, market acceptance, surveillance capacity.

And note any D&F the type requires.

Build the schedule from the review calendar backward SCHEDULE

Legal review, small business coordination, peer review, and PALT, with dates.

A schedule that ignores the boards is a schedule that will slip.

Decide sustainment and data rights now LIFECYCLE

What the government will need later and how the plan obtains it.

The cheapest time to secure rights is before the contractor has built anything.

WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY

They write the plan with the CO, from the market research, before the package is due. They make the five big decisions deliberately and document the reasoning. They anticipate the competition advocate and the small business specialist. They build the schedule from the review calendar. And they plan sustainment and data rights while buying development, because that is when it can still be done.

BUILD ON THIS

- **Market Research** The evidence the plan is built on
- **Contract Types** The risk allocation the plan chooses
- **Data Rights and IP** What the sustainment section has to secure

Key Terms

Acquisition Planning

The process of coordinating and integrating all the decisions about how to acquire something, as early as possible, to promote competition and get the best value. Required by FAR Part 7 for every acquisition; written plans required above thresholds.

Written Acquisition Plan

The formal document FAR 7.105 prescribes, with a background section (need, history, conditions) and a plan of action (sources, competition, contract type, budget, milestones, and more). DoD sets dollar thresholds for when it is required and who approves.

Acquisition Strategy

For DoD programs, the overarching business and technical management approach approved by the milestone decision authority. Broader than the acquisition plan and includes it; covers the whole program, not just one contract.

Milestone Decision Authority (MDA)

The official who approves a program's acquisition strategy and authorizes entry into each phase. Ranges from the Defense Acquisition Executive for the largest programs to a program executive officer for smaller ones.

Competition Advocate

The official at each contracting activity responsible for promoting competition and challenging barriers to it. Reviews acquisition plans and J&As.

Should-Cost

DoD's practice of setting a cost target below the independent estimate and managing to it. The acquisition strategy identifies should-cost initiatives.

Contract Type Determination

The reasoned choice of firm-fixed-price, cost-type, T&M, or incentive arrangements based on risk, requirement definition, and the market. Documented in the plan; some types require a D&F.

Sources and Competition

The plan's statement of how the acquisition will be competed (full and open, set-aside, limited) and the market research supporting it. The section the competition advocate reads first.

Streamlined Acquisition Plan

A shorter format many activities allow below the full written-plan threshold, covering the essential decisions in a few pages.

Acquisition Milestone Schedule

The plan's timeline from plan approval through award: market research, package, solicitation, evaluation, award. The schedule the PM will be held to.

Knowledge Check

Which FAR part governs acquisition planning?

A. Part 6

✓ **B. Part 7**

C. Part 15

D. Part 19

WHY

FAR Part 7 requires planning for all acquisitions and written plans above agency thresholds; FAR 7.105 sets the contents.

In DoD, what is the difference between an acquisition strategy and an acquisition plan?

A. They are identical

✓ **B. The strategy is the program-level document approved by the MDA; the plan is the FAR Part 7 document for a specific contract action within it**

C. The plan is for major programs only

D. The strategy is written by the CO

WHY

The strategy covers the whole program across phases; the plan implements it for one contract.

Which five decisions in the plan most constrain the rest of the acquisition?

A. Font, format, length, author, date

✓ **B. Competition, contract type, vehicle, source selection approach, and data rights/sustainment**

C. CLIN numbering and invoicing

D. Office location and staff

WHY

These decisions determine what industry proposes, who can compete, who bears risk, and who can compete sustainment.

Market research found two capable small businesses; the plan proposes full and open competition. What happens?

A. Approved as written

✓ **B. The small business specialist and competition advocate non-concur; the plan must be reconciled with the Rule of Two**

C. The J&A is approved

D. The plan is exempt from review

WHY

The competition section must match the market research.

What must the plan show when choosing a cost-type contract for a requirement?

A. Nothing; cost-type is the default

✓ **B. Why the requirement cannot be fixed-price: definition, cost uncertainty, market acceptance, and surveillance capacity**

C. That the contractor prefers it

D. That funding is available

WHY

DoD policy prefers fixed price where feasible; the plan must reason from risk.

Who reviews the acquisition plan specifically to challenge barriers to competition?

A. DCAA

✓ **B. The competition advocate**

C. The COR

D. The MDA

WHY

The competition advocate challenges sole-source approaches, restrictive specifications, and bundling.

Why should sustainment and data rights be decided in the acquisition plan for a development contract?

A. They are not relevant to development

✓ **B. Because the decisions about what the government will own and can compete later must be made before the contractor builds the system**

C. Because DCAA requires it

D. To reduce the IGCE

WHY

Rights and architecture decisions made at planning determine whether sustainment can be competed for decades.

What is a should-cost target?

A. The IGCE

✓ **B. A cost target set below the independent estimate, with specific initiatives to reach it, documented in the strategy**

C. The contractor's proposed price

D. The funding ceiling

WHY

Should-cost turns cost management into a list of actions with owners.

Which vehicle option typically has the shortest timeline to award?

A. New standalone contract with full source selection

✓ **B. Order under an existing agency IDIQ with fair opportunity**

C. A new GWAC competition

D. A new multi-year contract

WHY

Orders under existing vehicles skip the full source selection cycle, though competition is limited to holders.

Match the plan section to what it answers:

CORRECT MATCHES

Sources	Who can perform, per market research
Competition	Full and open, set-aside, or limited, and why
Contract type	Who carries the cost risk and why
Milestones	The schedule from approval through award

WHY

Sources covers who can perform; competition covers how it is competed; contract type covers risk allocation; milestones cover the schedule.

Order the steps to a plan that survives review:

CORRECT ORDER

1. Complete market research
2. Write the competition section for the advocate
3. Justify contract type in risk terms
4. Build the schedule from the review calendar backward
5. Decide sustainment and data rights

WHY

Market research first, then competition reasoning, contract type reasoning, a schedule built from the review calendar, and sustainment decisions.

The plan says "funds will be provided" in the budgeting section. How will reviewers treat this?

- A. As adequate
- ✓ B. As an incomplete funding section; the plan must identify the money by year and appropriation
- C. As a waiver request
- D. As a J&A

WHY

Funding must be identified specifically. Contracting cannot solicit what is not funded.

Market Research: The Evidence Every Acquisition Decision Rests On

23 min

FAR Part 10 and what it actually asks for. The techniques, from a database search to an industry day; how to write a sources sought that gets useful answers; the commercial determination; how the results drive the set-aside decision, the contract type, and the evaluation criteria; and the market research report that reviewers read before anything else.

Research Is Not a Box to Check

Every decision in the acquisition plan is supposed to rest on market research: whether to set aside, whether the item is commercial, what contract type the market will accept, what evaluation criteria make sense, what the price should be. When market research is done properly, those decisions defend themselves. When it is a two-paragraph memo saying "a SAM.gov search was conducted," every decision is exposed: to the small business specialist, the competition advocate, and later to a protester. This lesson covers how to do it so that the decisions hold, and how contractors should read what the government is doing when it does it.

IN PLAIN TERMS

Before hiring someone to replace your roof, you look at roofs they have actually finished, ask what neighbors paid, and find out whether a warranty is normal. A flyer saying they are interested tells you nothing. With that homework done, you can defend your choice of roofer and your price to anyone who asks. Market research is that homework for the government: it is the evidence behind the set-aside, commercial, contract type, and price decisions.

What FAR Part 10 Requires

Agencies must conduct market research before developing new requirements documents, before soliciting offers above the simplified threshold, and in several other situations (including before awarding a task order above the threshold under some vehicles, and before soliciting for a bundled requirement). The extent should be appropriate to the size, complexity, and urgency of the acquisition. The regulation lists techniques, from contacting knowledgeable individuals to publishing formal requests, and requires that the results be documented in a manner appropriate to the acquisition. It also directs that market research be used to determine whether commercial products or services can meet the need, whether small businesses can perform, and what customary terms and practices apply in the market.

Market Research Techniques, From Light to Heavy

TECHNIQUE	WHAT IT YIELDS	EFFORT	WHEN TO USE
Database research (SAM.gov, DSBS, FPDS, USASpending, GSA eLibrary)	Who has done similar work, on what vehicles, at what prices; small businesses in the NAICS	Hours	Always; the starting point
Review of prior acquisitions and CPARS	How the last contract performed and was structured	Hours	Recompetes and follow-ons
Contact with other agencies	Vehicles and contractors they use; lessons learned	Days	Common requirements
Sources sought notice	Capability statements from interested firms; the basis for the Rule of Two	Weeks (posting plus response period)	Nearly every competitive acquisition above the threshold
Request for information	Industry views on requirements, approaches, contract type, feasibility	Weeks	New or complex requirements; when the government is unsure how to buy
Industry day and one-on-ones	Direct dialogue; gauge interest; explain constraints; let teams form	Weeks to plan	Large or complex acquisitions; when the requirement needs explaining
Draft RFP for comment	Industry critique of the actual solicitation before it is final	Weeks	Complex competitions; protest-proofing

The Sources Sought: Writing One That Gets Real Answers

The sources sought is the single most consequential market research tool because it feeds the set-aside decision. Most are written badly: a paragraph describing the requirement vaguely and a request for "capability statements." The responses are brochures, and the CO learns nothing about who can actually perform. A good sources sought describes the requirement specifically (scope, scale, location, clearance, key skills, anticipated period), states the NAICS and size standard being considered, and asks specific questions: relevant past performance with contract numbers and values; how the respondent would meet the hard parts (surge, clearances, a particular technology); whether it would prime or team; its size and socioeconomic status under the stated NAICS; and its view on contract type, vehicle, and the NAICS itself. Give two to three weeks to respond. The responses then support a real capability judgment.

THE QUESTION SETS THE QUALITY OF THE ANSWER

A sources sought that asks "are you interested" gets thirty responses, twenty-eight of them from firms that could not perform. The CO cannot set the acquisition aside on that basis and cannot defend not setting it aside either. A sources sought that asks "show us your contract that did this at this scale" gets six responses, and the CO knows exactly what the market looks like. The quality of the question sets the quality of the decision.

Reading the Responses: Capable vs. Interested

The Rule of Two asks whether the CO reasonably expects two responsible small businesses to submit offers at fair prices. That is a judgment about capability, not a count of responses. Reviewing responses means comparing each to the requirement: does the past performance match in scope and scale; can the firm meet the hard requirements alone or with a credible team; is it small under the stated NAICS; does it have the infrastructure (accounting system, clearance, certifications) the contract will need. Two credible small responses and the acquisition should be set aside. Six responses from small firms none of which have done the work at scale, and the CO has a documented basis for not setting it aside, which the small business specialist will test. The judgment and its reasoning go in the report.

What Market Research Has to Answer

- **Can small businesses perform?** At least two capable ones, in which categories, and therefore what set-aside is supported. The Rule of Two analysis.
- **Is it commercial?** Are commercial products or services available that meet the need, possibly with minor modification? If so, FAR Part 12 applies.
- **What contract type does the market accept?** Will firms bid fixed-price for this? What do similar contracts use?
- **What does it cost?** Prices on similar awards, labor rates on vehicles; the basis for the IGCE.
- **What are customary practices?** Warranty, licensing, delivery terms, data rights the market provides.
- **Is the requirement feasible as written?** Did industry flag anything impossible, unnecessarily restrictive, or unclear?
- **Which vehicles could be used?** Existing IDIQs, GWACs, or GSA schedules that already hold capable firms.

One sentence to teach your team: **market research is the evidence behind the set-aside, commerciality, contract type, and price decisions, and a sources sought that asks specific questions is what turns responses into evidence.**

INTERMEDIATE

The Commercial Determination

If market research shows the need can be met by a commercial product or service (one sold or offered to the general public, or of a type sold to the public, or a modification of one customarily available in the market), the CO determines it commercial and FAR Part 12 applies. The consequences are large: a streamlined solicitation, far fewer clauses, contractor-standard commercial terms where practical, commercial data rights, and no certified cost or pricing data. Industry pushes for commercial determinations for exactly these reasons, and the government has tightened its expectations: the determination must be documented, the market research must show actual commercial sales or the type sold commercially, and for larger actions higher-level approval is required. A determination that "the

contractor says it is commercial" does not survive review. One that cites the commercial market, the customary terms, and comparable sales does.

Industry Days and One-on-Ones: Getting Value Without Getting in Trouble

The Procurement Integrity lesson explains what may not be shared. Within those rules, pre-solicitation exchanges are encouraged. An industry day works when the government presents the requirement candidly (including the hard parts and the constraints), answers questions in the open, and offers one-on-one sessions afterward to any interested firm. The one-on-ones are where the useful information comes: firms will say privately what they will not say in a room full of competitors, about feasibility, about contract type, about the NAICS. The rules: offer the sessions fairly, keep notes, do not share one firm's information with another, and do not commit to anything. After the solicitation is released, the exchanges stop and communication runs through the CO.

The Market Research Report

SECTION	CONTENTS	WHO RELIES ON IT
Requirement summary	What is being acquired; NAICS considered; size standard	Everyone
Techniques used	Each technique, date, and scope: databases searched, notices posted, events held	Reviewers checking adequacy
Results	Respondents by size and status; capability assessment of each; prices and contract types found; vehicles identified	Small business specialist; pricing; the acquisition plan
Analysis	Rule of Two conclusion and reasoning; commerciality conclusion; contract type recommendation; feasibility issues raised	CO; competition advocate; small business specialist
Recommendations	Acquisition approach the research supports	The acquisition plan
Attachments	Sources sought text and responses, industry day materials, one-on-one notes	Protest defense; audit

Recompetes: Research That Starts From the Incumbent Contract

On a recompetete, market research begins with the existing contract: its CPARS, its cost history, its structure, and what the program would change. Then the market: has the field changed since the last competition, are new small firms capable, has the incumbent grown large. The sources sought for a recompetete should describe the requirement as it will be, not as it was, and should be honest about the incumbent's presence, because every respondent is calculating their chance against it. The government's interest is a competitive field; a recompetete sources sought that reads as pro forma produces a competitive field of one.

Market Research as Requirement Shaping

The best market research changes the requirement. An RFI that asks "is there a better way to meet this need than the way we described" gets answers that reshape the SOW, drop a specification nobody can meet, or reveal a commercial service that makes a development effort unnecessary. Senior PMs use RFIs to test their assumptions before the requirement is locked, and they treat a response that says "you are asking for the wrong thing" as the most valuable one received. The alternative is discovering the same thing through a protest or a failed competition.

Research Adequacy in Protests and Reviews

Market research is tested after the fact by three audiences. The small business specialist and SBA PCR test whether it supports the set-aside decision. GAO tests it in protests of set-aside decisions, of commercial determinations, and of sole-source justifications, asking whether the agency's conclusion was reasonable given the research it did. And inspectors general test it in audits of competition and small business goals. In each case the question is the same: what did the agency do, what did it learn, and does the decision follow from it. A report that documents specific techniques, specific responses, and specific reasoning wins those reviews. A memo that asserts a conclusion loses them.

How Contractors Read Government Market Research

The signals a capture team extracts from what the government posts.

The NAICS in the sources sought SIZE

Tells you the size standard being considered, and whether to argue for a different one.

If the code is wrong for the work, say so in the response; the CO is asking.

The questions asked CONCERNS

The government asks about what worries it: surge, clearances, transition, a specific technology.

Those are the evaluation factors in draft. Answer them with evidence.

Contract type and vehicle questions STRUCTURE

When the government asks what type or vehicle industry prefers, it is undecided.

This is the moment to influence it, with reasoning the CO can put in the plan.

The set-aside language COMPETITION

"Considering a small business set-aside" means the Rule of Two is open.

Two strong small responses can close it. A large firm reading this should be finding a small partner.

An RFI asking "is there a better way" SHAPING

The requirement is not locked.

The most valuable response you can write is the one that changes the requirement toward your strength.

WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY

They write sources sought notices with specific questions and enough detail to get real answers. They judge responses on capability, not interest. They use RFIs to test the requirement before locking it. They hold one-on-ones and keep the notes. And they write a market research report that a protester's lawyer would find complete, because someday one will read it.

BUILD ON THIS

- **Set-Asides From the Government Side** What the CO does with the Rule of Two analysis
- **Winning as a Small Business** The contractor's side of the sources sought
- **Procurement Integrity and Ethics** What may and may not be shared in exchanges with industry



Acqlerate

Key Terms

Market Research

Collecting and analyzing information about the capabilities in the market to satisfy a need. Required by FAR Part 10 before developing new requirements documents and before soliciting above the simplified threshold.

Sources Sought Notice

A SAM.gov notice asking industry to identify itself and its capability for a described requirement. Not a solicitation. The primary tool for the set-aside analysis.

Request for Information (RFI)

A broader request for industry input on requirements, approaches, technologies, or market conditions. Often combined with a sources sought.

Industry Day

A government-hosted event presenting a requirement and taking questions. Used to gauge interest, explain constraints, and let teams form.

Commercial Determination

The CO's finding, based on market research, that a product or service is commercial (or COTS), which changes the applicable rules substantially (FAR Part 12, reduced clauses, different data rights, TINA exception).

Market Research Report

The written record of what was done, what was learned, and what it means. Supports the acquisition plan, the set-aside decision, the commerciality determination, and the J&A if any.

Capability Statement Review

Reading and evaluating sources sought responses against the requirement to determine which respondents are credibly capable, not merely interested.

Dynamic Small Business Search (DSBS)

SBA's database of small businesses by NAICS and keyword. A standard research source for the Rule of Two analysis.

Contract Data Sources

FPDS, USASpending, SAM.gov award notices, and GSA eLibrary: where the government finds who has performed similar work, at what price, under what contract type.

One-on-One Sessions

Individual meetings with potential offerors during market research. Permitted and encouraged pre-solicitation; must be offered fairly and documented.

Knowledge Check

Which FAR part requires market research?

A. Part 7

✓ **B. Part 10**

C. Part 12

D. Part 19

WHY

FAR Part 10 requires research before developing requirements and before soliciting above the simplified threshold.

What is the primary purpose of a sources sought notice?

A. To award a contract

✓ **B. To identify capable sources, especially small businesses, as the basis for the set-aside analysis**

C. To request pricing

D. To announce an industry day

WHY

Sources sought responses are the evidence behind the Rule of Two.

A sources sought receives 30 responses, mostly from firms with no relevant experience. What is the correct reading for the Rule of Two?

A. 30 responses means a set-aside is required

✓ **B. The count is not the test; the CO judges how many respondents are credibly capable**

C. The acquisition must be full and open

D. The CO should hold a lottery

WHY

The Rule of Two is a capability judgment, documented with reasoning, not a tally.

What makes a sources sought notice produce useful evidence?

A. A short description and a request for interest

✓ **B. Specific requirement detail, the NAICS under consideration, and specific questions about past performance, hard requirements, teaming, and size**

C. A long response period

D. Posting it twice

WHY

Specific questions produce specific, evaluable answers.

What is the effect of a commercial determination?

A. The acquisition becomes sole source

✓ **B. FAR Part 12 applies: streamlined solicitation, fewer clauses, commercial terms and data rights, and no certified cost or pricing data**

C. The contract must be fixed-price

D. Small business rules do not apply

WHY

Commerciality changes the applicable rules substantially, which is why it must be documented against the actual market.

When must pre-solicitation exchanges with individual firms stop?

A. Never

✓ **B. When the solicitation is released; communication then runs through the CO and is shared equally**

C. After the industry day

D. After market research is documented

WHY

One-on-ones are permitted before release, offered fairly and documented. After release, the rules change.

Which section of the market research report do the small business specialist and competition advocate rely on most?

A. Attachments

✓ **B. The analysis: Rule of Two conclusion, commerciality, and the reasoning**

C. The requirement summary

D. The distribution list

WHY

The analysis section is where the decisions and their reasoning live.

On a recompet, where does market research begin?

A. With a new sources sought only

✓ **B. With the existing contract: CPARS, cost history, structure, and what will change; then the market**

C. With the incumbent's proposal

D. With the IGCE

WHY

Recompet research starts from what exists and asks how the field and the requirement have changed.

What is the most valuable RFI response a PM can receive?

A. One that praises the requirement

✓ **B. One that says the requirement is asking for the wrong thing, with a better alternative**

C. One with a price

D. One that requests a set-aside

WHY

Research that reshapes the requirement prevents failed competitions and protests.

Match the technique to what it yields:

CORRECT MATCHES

Database research (FPDS, DSBS)	Who has performed similar work and small firms in the NAICS
Sources sought	Capability statements for the Rule of Two
RFI	Industry views on requirements, approach, and contract type
Draft RFP	Critique of the actual solicitation before it is final

WHY

Databases show who has done the work; sources sought yields capability statements; RFIs yield industry views on approach; draft RFPs yield critique of the solicitation.

Order the market research sequence for a competitive services acquisition:

CORRECT ORDER

1. Database research and prior contract review
2. Post a specific sources sought notice
3. Evaluate responses for capability, not interest
4. Industry day and one-on-ones if the requirement needs it
5. Write the market research report with analysis and reasoning

WHY

Database research first, then the sources sought, then review of responses, then industry engagement if needed, then the report.

Who tests the adequacy of market research after the fact?

- A. No one
- ✓ B. The small business specialist and PCR, GAO in protests, and inspectors general in audits
- C. Only the PM
- D. The contractor

WHY

Each asks what was done, what was learned, and whether the decision follows. Documented specifics win; assertions lose.

Writing the Requirement: SOW, PWS, and SOO

27 min

The document contractors price, evaluators score, and CORs enforce. The three forms of a requirement and when each fits, the anatomy of a performance work statement, the quality assurance surveillance plan that makes it enforceable, the words that create personal services and inherently governmental problems, and the defects that cost money for years.

The Document Everyone Else Works From

The requirement document is read by more people, more carefully, than anything else the government writes in an acquisition. Contractors price it. Evaluators score proposals against it. The CO negotiates on it. The COR enforces it. Auditors and boards of contract appeals interpret it, years later, in disputes about what was owed. Every defect in it costs money: an ambiguous task becomes a change order, an untestable standard becomes an unenforceable one, a phrase that implies government supervision becomes a personal services finding. This lesson covers how to write one that holds up, in whichever of the three forms fits the acquisition.

IN PLAIN TERMS

Hiring a lawn service works two ways. You can say: mow every Tuesday with a push mower, then edge with a string trimmer. That is a statement of work, and if Tuesday rain ruins the plan, it is your problem. Or you can say: grass never taller than three inches, edges clean, and I check every Friday. That is a performance work statement. The service picks the method and owns the result, and you know exactly what to inspect.

Three Forms of a Requirement

FORM	WRITTEN IN TERMS OF	WHO DECIDES THE METHOD	BEST FOR	RISK IF MISUSED
Statement of Work	Tasks: what to do, how, when	The government	Well-understood work where the government has a required method; construction; some engineering support	Locks in the government's method even when a contractor knows a better one; invites change orders when the tasks turn out to be wrong
Performance Work Statement	Outcomes with measurable standards	The contractor	Most services: the government knows what result it needs and can measure it	Standards that cannot be measured become unenforceable; outcomes written as tasks become a SOW in disguise
Statement of Objectives	Objectives and constraints only	The offeror, in its proposed PWS	Complex or innovative requirements where industry can propose better approaches than the government can specify	Proposals become hard to compare; the winning PWS must be incorporated and enforced

Why the FAR Prefers Performance-Based

For services, the FAR directs performance-based acquisition to the maximum extent practicable: describe the outcome, set measurable standards, let the contractor decide the method, and pay for results. The logic is that the government is not usually the expert in how to run a help desk or maintain a fleet; the contractor is. A PWS that says "achieve 95% first-call resolution, measured monthly from the ticketing system" gets a better result than a SOW that prescribes the staffing, the scripts, and the hours. It also transfers risk: a contractor who chose the method owns the result. In practice, many "PWS" documents are SOWs with the word "performance" in the title, because writing real standards is hard. The rest of this lesson is about doing it.

Anatomy of a Performance Work Statement

- **Background and scope** What the organization does, why the service is needed, what is in and out of scope. Short.
- **Objectives** The outcomes the government needs, stated as results, not activities.
- **Performance requirements** For each objective: the required service, the performance standard (metric and threshold), the acceptable quality level, and the method of surveillance. Often presented as a table called a performance requirements summary.
- **Government-furnished property, information, and services** What the government will provide, when, and in what condition. Missing GFP is the most common government-caused delay.
- **Contractor-furnished items** What the contractor must bring.
- **Constraints** Security, hours, location, regulations, certifications, transition requirements, key personnel.
- **Deliverables** Referenced to the CDRL.

- **Definitions and applicable documents** Terms and referenced standards, with versions.

Writing a Standard That Can Be Measured

A performance standard has three parts: the metric (what is measured), the threshold (the required level), and the AQL (how much deviation is tolerated before the work is deficient). "Provide timely help desk support" is not a standard. "Resolve priority 2 tickets within 4 business hours, measured from the ticketing system, with 95% compliance per month" is. Every standard should be tied to a data source the government can actually access and a frequency at which someone will actually check. If the government cannot measure it, it is not a standard; it is a hope. And the number of standards should be small enough that the COR can surveil them all. A PWS with 80 standards has 80 things nobody checks.

HAND THE PWS TO THE FUTURE COR

The test of a PWS is to hand it to the future COR and ask: on the first of next month, what will you measure, where will you get the data, and what will you do if the number is bad? If the COR cannot answer for a standard, delete it or fix it. If the COR cannot answer for any of them, the document is a SOW, and it should be written as one honestly rather than pretending.

The QASP: The Other Half of the PWS

A PWS without a QASP is a promise the government has not decided how to keep. The quality assurance surveillance plan states, for each performance standard, the surveillance method (100% inspection, random sampling, periodic inspection, customer complaint, or contractor-reported data with government validation), the frequency, who performs it, how results are documented, and what happens at each level of nonperformance (from a note in the file, to a corrective action request, to a deduction or a cure notice). The QASP is a government document, not part of the contract, but it is usually shared with the contractor so both sides know how performance will be judged. It is written with the PWS, by the same people, because each standard's surveillance method has to be feasible.

EXAMPLE (ILLUSTRATIVE)

Program X's PWS (performance work statement) says: resolve priority 2 tickets within 4 business hours, measured from the ticketing system, with 95% compliance per month. The QASP (quality assurance surveillance plan) says the COR (contracting officer's representative) pulls a ticketing report on the first business day of each month. In March the report shows 400 priority 2 tickets, 384 resolved on time. $384 \div 400 = 96\%$. The standard is met, and the COR notes it in the file. In April, 372 of 400 are on time. $372 \div 400 = 93\%$, below 95%. The QASP says what happens next: a corrective action request to the contractor. No one argues about what "timely" meant, because the PWS never used the word.

One sentence to teach your team: a requirement is a set of outcomes with standards the government can measure and a plan for measuring them, and every standard the COR cannot check on the first of the month is a standard that does not exist.

Personal Services: The Words That Create the Problem

A personal services contract is one in which contractor employees are effectively government employees: supervised directly by government personnel, integrated into the government organization, working government hours at government direction on government tasks assigned day to day. It is prohibited without specific statutory authority. It is created by how the requirement is written and how the contract is managed. Phrases that create it: "the contractor shall provide personnel to perform duties as assigned by the government," "contractor personnel will report to the division chief," "the government will assign tasks daily," "positions" instead of "outcomes." The fix is structural: the government specifies outcomes and standards; the contractor supervises its own people and decides how to meet them; the government inspects results. A requirement written as a list of positions with duties is a personal services contract waiting for an audit.

Inherently Governmental and Closely Associated Functions

Some work cannot be contracted at all: deciding policy, committing the government to a course of action, awarding or administering contracts (the CO's functions), directing government employees, exercising discretion in applying government authority. A requirement that asks a contractor to "determine," "approve," "direct government staff," or "select the awardee" has crossed the line. Work that supports those functions (drafting policy for government decision, supporting source selection evaluations, evaluating other contractors' work) is closely associated and permissible with enhanced oversight, OCI mitigation, and government retention of the decision. The requirement should state explicitly that the government makes the decisions and the contractor advises, and the QASP should confirm that is how it is administered.

Defects and Their Consequences

DEFECT	EXAMPLE	WHAT IT COSTS
Ambiguous scope	"Support the program office as required"	Every request becomes an argument about whether it is in scope; constructive changes
Untestable standard	"Provide high-quality, responsive support"	Unenforceable; CPARS disputes; no basis for deductions
Task list dressed as a PWS	Outcomes with "the contractor shall" tasks under each	Government owns the method and the result; contractor blames the tasks
Missing GFP and GFI	No list, or a list without dates	Government-caused delay claims; REAs
Personal services language	"Duties as assigned by the government lead"	Findings; contract restructuring; audit exposure
Undefined terms and unversioned standards	"Comply with applicable cybersecurity standards"	Disputes over which version; scope creep
Transition ignored	No transition-in period, no transition-out obligations	A chaotic start; an incumbent that will not cooperate at the end

The SOO Approach: When to Let Industry Write It

A statement of objectives is a few pages stating the government's objectives, constraints, and the outcomes it wants, with offerors proposing their own PWS, performance standards, and QASP approach in response. It works when the government genuinely does not know the best approach and the market does: new technology, innovative service models, complex integration. It fails when the government secretly knows what it wants and rejects proposals that differ, or when the proposals are so different that evaluation becomes arbitrary. The discipline is to write objectives that are real, evaluate proposed PWSs on how well they achieve them, and then incorporate the winner's PWS into the contract and enforce it as written.

ADVANCED

Requirements Reviews: Who Reads It Before Industry Does

A requirement should be reviewed by four people before it leaves the program office. The future COR, for measurability and surveillance feasibility. The CO or contract specialist, for contractual defects, personal services language, and consistency with the planned contract type. Legal, for inherently governmental issues, OCI, and clause interactions. And someone who knows the market, ideally from the industry day or one-on-ones, for feasibility and for restrictive language that will limit competition. Some activities run formal requirements review boards for services; where they exist, they are the gate. Where they do not, the PM assembles the reviewers. The cost of the review is days. The cost of skipping it is the life of the contract.

How Contractors Read the Requirement

A capture team reads a PWS three times. Once for scope: what is in, what is out, what is ambiguous enough to be either. Once for standards: which are measurable, which are not, and which the incumbent is probably

failing. Once for risk: GFP that may not arrive, transition terms, key personnel, and personal services language that signals how the government will actually manage. The Capture module covers proposal strategy. For a government PM, the point is that everything ambiguous will be priced as risk or exploited as scope, and everything unmeasurable will be promised and not delivered. Writing it tight is cheaper than negotiating it later.

A Performance Requirements Summary, Built Right

One row per standard. This is what the COR carries.

Required service WHAT

The outcome, stated as a result: "Priority 2 incidents resolved."

Not "provide help desk staff." The result, not the activity.

Performance standard LEVEL

Metric and threshold: "Within 4 business hours of ticket creation."

Tied to a data source: the ticketing system timestamp.

Acceptable quality level TOLERANCE

"95% of priority 2 tickets per month."

Below this, the service is deficient for the period.

Surveillance method HOW

"Monthly report from the ticketing system, validated by COR sample of 20 tickets."

Feasible for one COR in one afternoon.

Remedy CONSEQUENCE

"Corrective action request; second consecutive month, deduction per the contract's deduction schedule; third, cure notice."

Graduated, pre-agreed, and written into the contract where deductions are used.

WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY

They write outcomes and standards the COR can measure, and they write the QASP at the same time. They keep the number of standards small enough to surveil. They strip out every phrase that implies government supervision of contractor staff. They list GFP with dates. They have the COR, the CO, legal, and someone who knows the market read it before industry does. And they remember that every ambiguity will be priced or exploited, because that is what they would do on the other side.

BUILD ON THIS

- **Contract Administration & COR** The QASP in action after award
- **CDRLs & DIDs** The deliverables the requirement references
- **Common Mistakes Contractors Make** SOW vs. PWS from the proposal side



Acqlerate

Key Terms

Statement of Work (SOW)

A requirement written in terms of the tasks the contractor must perform: what to do, how, and when. Design-oriented; appropriate when the government knows exactly how it wants the work done.

Performance Work Statement (PWS)

A requirement written in terms of the outcomes the contractor must achieve, with measurable performance standards, leaving the method to the contractor. The FAR-preferred form for services.

Statement of Objectives (SOO)

A brief statement of the government's objectives and constraints, inviting offerors to propose their own PWS as part of their proposal. Used when the government wants industry to define the approach.

Performance Standard

The measurable level of performance required for each outcome: a metric, a threshold, and an acceptable quality level. The heart of a PWS.

Quality Assurance Surveillance Plan (QASP)

The government's plan for how it will monitor performance against the standards: what is measured, how, how often, by whom, and what happens when standards are not met.

Acceptable Quality Level (AQL)

The maximum deviation from a performance standard the government will accept before the work is deficient. Defines the line between acceptable and not.

Personal Services

A contract that, by its terms or as administered, makes contractor personnel appear to be government employees under direct government supervision. Prohibited unless specifically authorized. Created by how the requirement is written and how the work is managed.

Inherently Governmental Function

Work so intimately related to the public interest that it must be performed by government employees: making policy, awarding contracts, directing government personnel, exercising discretion in applying government authority. Cannot be contracted.

Closely Associated Functions

Work that approaches inherently governmental (supporting source selections, drafting policy, evaluating other contractors). Permissible with enhanced government oversight and OCI attention.

Contract Data Requirements List (CDRL)

The list of deliverables with formats and due dates. Attached to and referenced by the requirement; covered in the Contracting module.

Knowledge Check

What distinguishes a performance work statement from a statement of work?

A. A PWS is shorter

✓ **B. A PWS states outcomes with measurable standards and leaves the method to the contractor; a SOW prescribes tasks**

C. A SOW is used only for construction

D. A PWS has no deliverables

WHY

The PWS is performance-based; the SOW is task-based. The FAR prefers the PWS for services.

Which of these is a measurable performance standard?

A. "Provide timely help desk support"

✓ **B. "Resolve priority 2 tickets within 4 business hours, measured from the ticketing system, 95% per month"**

C. "Maintain high customer satisfaction"

D. "Support the program as required"

WHY

A standard has a metric, a threshold, an AQL, and a data source the government can access.

What is a QASP?

A. A pricing document

✓ **B. The government's plan for how it will surveil each performance standard: method, frequency, who, documentation, and remedies**

C. The contractor's quality plan

D. A CDRL item

WHY

The QASP is the other half of the PWS. Without it, standards are unenforced.

Which phrase most clearly creates a personal services problem?

- A. "The contractor shall achieve 99% system availability"
- ✓ **B. "Contractor personnel will perform duties as assigned daily by the government division chief"**
- C. "The contractor shall deliver a monthly status report"
- D. "The contractor shall provide its own project manager"

WHY

Day-to-day government direction and supervision of contractor staff is the definition of personal services.

Which function is inherently governmental and cannot be contracted?

- A. Drafting a policy paper for government decision
- ✓ **B. Awarding contracts and directing government employees**
- C. Running a help desk
- D. Maintaining a fleet

WHY

Awarding contracts, directing government staff, and exercising government authority must be performed by government employees. Supporting those functions is closely associated and permissible with oversight.

When is a statement of objectives the right form?

- A. For every services contract
- ✓ **B. When the government knows the outcomes it needs but industry is better placed to propose the approach**
- C. For construction
- D. When the government has a required method

WHY

The SOO invites offerors to propose their own PWS; it fails when the government secretly knows what it wants.

A PWS lists 80 performance standards for a service supported by one COR. What is the likely result?

- A. Excellent surveillance
- ✓ **B. Most standards go unchecked; the PWS is unenforceable in practice**
- C. The contractor is overwhelmed
- D. DCAA disallows the contract

WHY

Standards must be few enough to surveil. A standard nobody checks does not exist.

What is the most common government-caused delay traceable to the requirement document?

- A. Ambiguous definitions
- ✓ **B. Government-furnished property or information listed without dates, or not listed at all**
- C. Too many CDRLs
- D. A long background section

WHY

GFP that arrives late is the standard basis for contractor delay claims and REAs.

Who should review a requirement before it leaves the program office?

- A. Only the PM
- ✓ **B. The future COR, the CO, legal, and someone who knows the market**
- C. The contractor
- D. DCAA

WHY

Each reviewer catches a different class of defect: measurability, contractual issues, inherently governmental questions, and feasibility.

Match the form to its character:

CORRECT MATCHES

Statement of Work	Tasks and methods prescribed by the government
Performance Work Statement	Outcomes with measurable standards; method left to the contractor
Statement of Objectives	Objectives and constraints; offerors propose the PWS

WHY

SOW prescribes tasks; PWS states outcomes with standards; SOO states objectives and lets offerors propose the PWS.

Order the elements of one row in a performance requirements summary:

CORRECT ORDER

1. Required service (the outcome)
2. Performance standard (metric and threshold)
3. Acceptable quality level
4. Surveillance method and frequency
5. Remedy for nonperformance

WHY

Required service, performance standard, AQL, surveillance method, remedy.

How does a capture team treat ambiguity in a requirement?

A. Ignores it

✓ **B. Prices it as risk or exploits it as scope, which is why the government should write the requirement tightly**

C. Reports it to GAO

D. Assumes the narrowest reading

WHY

Every ambiguity will be priced or argued. Tight writing is cheaper than later negotiation.

The Independent Government Cost Estimate

24 min

The number the government builds before it sees a single proposal. What the IGCE is for, how to build one that matches the requirement line by line, where the rates come from, why "independent" matters, how it is used in price reasonableness and cost realism, and the ways a bad IGCE quietly damages a competition.

The Number You Need Before You Can Ask for Money

Before the government can fund a requirement, solicit it, or judge whether a proposal's price is reasonable, it needs its own view of what the work should cost. That is the IGCE. It is built by the requiring activity, structured to mirror the requirement, and kept away from industry. It is used three times: to size the funding request, to support the acquisition plan and the contract type decision, and to evaluate prices after proposals arrive. A good IGCE makes all three easy. A bad one produces underfunded contracts, unrealistic competitions, and price evaluations that cannot tell a lowball from a bargain. This lesson is about building the good one.

What "Independent" Means

The IGCE must be independent of the offerors. That means it cannot be built from a prospective bidder's quote, staffing plan, or rate card, and a contractor who might compete cannot help prepare it. The reason is obvious once stated: an estimate built from one bidder's numbers evaluates every other bidder against that one's pricing, and the bidder who supplied it knows the government's number. Independence does not mean ignorance of the market; market research on rates, prior contract prices, and published labor rates on vehicles are exactly the right inputs. It means the government forms its own view. If the incumbent's cost data is used for a recompet estimate (it often is, legitimately, from the government's own contract records), the estimate should be adjusted for the new requirement and documented as the government's analysis, not a copy.

IN PLAIN TERMS

Before buying a car, smart buyers look up what similar cars actually sold for and decide their own number before walking onto the lot. If you let one salesperson write your budget, every other dealer gets judged against his price, and he already knows what you will pay. The IGCE (independent government cost estimate) is the buyer's homework: built from market data, never from a bidder's quote, and kept to yourself.

IGCE Methods

METHOD	HOW IT WORKS	BEST FOR	WEAKNESS
Engineering build-up	Decompose the requirement into tasks; estimate labor categories, hours, materials, and other costs for each; apply burdened rates	New requirements; anything the government must defend in detail	Time-consuming; depends on the estimator understanding the work
Analogous	Start from a similar prior contract's cost; adjust for scope, quantity, location, and time	Recompetes; routine services with a history	Inherits the prior contract's inefficiencies; scope differences are easy to underweight
Parametric	Cost per unit (per seat, per square foot, per ticket) times quantity, from historical data	High-volume standardized services; facilities; IT seats	Only as good as the unit cost data; misses fixed costs
Expert judgment	Subject matter experts estimate directly	Early rough orders of magnitude	Not defensible alone; use to cross-check

Building a Services IGCE, Step by Step

Start from the requirement: every task or outcome in the PWS gets a row. For each, decide what kind of people do the work (labor categories and skill levels) and how many hours over the period of performance. Hours come from workload data (tickets, transactions, square feet, systems supported), from the incumbent contract's staffing if it exists, and from the estimator's knowledge of the work. Apply a fully burdened rate for each labor category, from market sources: rates on relevant GSA schedules or IDIQs, prior contract rates, salary surveys burdened with typical indirect rates and profit. Add other direct costs (travel, materials, equipment, subcontracts), and any specific items the requirement calls for (transition, key personnel premiums, clearances). Sum by contract line item and by period. Then write the basis of estimate for every number: where it came from and what was assumed.

The Core Calculation

Labor cost per category = Hours × Fully burdened rate

Where fully burdened rate ≈ Base rate × (1 + fringe) × (1 + overhead) × (1 + G&A) × (1 + profit)

IGCE = Σ labor by category + ODCs + subcontracts + materials, by CLIN and by period

The government does not know any one contractor's indirect rates. It uses typical market ranges (the Wrap Rates lesson in the Finance module gives them) or published vehicle rates that already include them. The estimate is a market number, not a government salary times hours.

EXAMPLE (ILLUSTRATIVE)

Program X needs 4 help desk technicians for one year. The estimator uses 1,920 hours per person (160 hours $\times$ 12 months), so $4 \times 1,920 = 7,680$ hours. A salary survey shows a base wage of \$40 per hour. Using hypothetical market-typical burdens (fringe 35%, overhead 40%, G&A 12%, profit 8%): $\$40 \times 1.35 \times 1.40 \times 1.12 \times 1.08 =$ about \$91.45 per hour. Labor estimate: $7,680 \times \$91.45 = \$702,336$. If the estimator had used the bare wage instead, $7,680 \times \$40 = \$307,200$, less than half the realistic figure. The purchase request would come up short and every honest proposal would look overpriced. Travel, materials, and any other direct costs are then added, and each number gets a written basis.

REAL TALK

The classic IGCE mistake is pricing contractor labor like government labor. A GS-13 costs the government one number. A contractor delivering that same skill bills two to three times the base salary once fringe, overhead, G&A, and fee are stacked on top. Build your estimate on government pay and you get a requirement the program cannot afford, a purchase request that comes up short, and an evaluation where every single proposal looks outrageous. They are not outrageous. Your estimate is. Use burdened market rates.

Where the Rates Come From

- **GSA schedule and GWAC rate tables** Published ceiling rates by labor category. Actual awards are usually below ceiling; use them as an upper bound and adjust with award data.
- **Prior contract rates** The government's own contract records for similar work: the best data for recompetes, adjusted for time and scope.
- **FPDS and USASpending** Award values for similar requirements; divide by scope for rough unit costs.
- **Salary surveys plus typical burdens** Base salaries by occupation and locality, burdened with market-typical fringe, overhead, G&A, and profit ranges.
- **Wage determinations** For SCA-covered occupations, the floor for wages and fringe, which the estimate cannot go below.
- **Market research responses** Rough pricing or rate ranges industry provided in RFI responses, used carefully and never from a single source.

One sentence to teach your team: **the IGCE is the government's own estimate, built to mirror the requirement line by line at burdened market rates with a documented basis for every number, and it has to exist before the money is requested and before the first proposal is opened.**

How the IGCE Is Used in Evaluation

After proposals arrive, the IGCE serves the CO's price analysis. On a competitive fixed-price award, the primary basis for price reasonableness is the competition itself; the IGCE is a cross-check that flags outliers, especially a price far below the estimate that may signal a misunderstanding of the requirement or a buy-in. On a cost-type competition, cost realism analysis compares each offeror's proposed costs (hours, rates, mix) to the government's view of what the work requires, and the IGCE is that view; unrealistic proposals are adjusted upward to a probable cost for evaluation. On a sole-source negotiation, the IGCE is the government's opening position and the basis for its objective. In each case, an IGCE with a detailed basis of estimate lets the evaluators say specifically why a proposal is or is not realistic. One with only a total lets them say nothing.

The IGCE and the Funding Request

The resource manager uses the IGCE to size the purchase request: how much to commit, in which appropriation, in which fiscal year, by contract line item. An IGCE that understates the requirement produces a PR that cannot fund the award; the CO discovers this when the proposals come in above the funded amount, and the program either finds more money (weeks to months), descopes (a new competition problem), or cancels. An IGCE that overstates ties up funds other requirements needed. The estimate should be phased by fiscal year to match the period of performance and the color of money rules, so that base year and option year funding are identified separately.

IGCE Defects and What They Cause

DEFECT	CONSEQUENCE
Government salaries instead of burdened rates	Estimate is 40% to 60% low; underfunded PR; every proposal looks overpriced
No basis of estimate	Cannot support cost realism; cannot defend the number to reviewers or in a protest
Structure does not match the PWS or CLINs	Evaluators cannot compare proposals to it line by line
Built from one prospective offeror's numbers	Independence compromised; OCI; potential protest ground
Hours copied from the incumbent without adjustment	Inherits the incumbent's staffing, inefficient or not; new scope is missed
ODCs and transition omitted	Underfunding; awarded price exceeds the estimate for reasons that were foreseeable
Not updated after requirement changes	Estimate and requirement diverge; the evaluation compares proposals to the wrong baseline

Protecting the Number

The IGCE is source selection information once the acquisition begins. It is not released to industry, it is marked and controlled, and disclosing it to an offeror is a Procurement Integrity Act violation. The people who build it should be the people who will evaluate against it, or their colleagues, and none of them should have a financial interest in any offeror. When contractors support the program office (advisory and assistance contractors are common), they must be walled off from the IGCE for any competition they or their affiliates might pursue, which is an OCI question the CO must address.

ADVANCED

Estimating Under Uncertainty: Ranges and Risk

For development work and novel requirements, a point estimate overstates what anyone knows. Senior estimators build ranges: a most-likely estimate with documented low and high cases driven by the major uncertainties (workload volume, technology maturity, staffing availability), and a risk-adjusted figure for the funding request. The Cost Estimating lesson in the Finance module covers cost risk calculation for programs; the same logic applies at IGCE scale. A funding request at the most-likely number with no reserve produces a contract that is underfunded the first time an assumption fails. The acquisition plan should say which figure is being funded and why.

When the Proposals Do Not Match the IGCE

Proposals that cluster far from the IGCE tell the government something. All of them well above: the requirement is bigger than the estimator thought, the rates are stale, or industry is pricing risk the government did not see; the estimate should be re-examined before concluding the market is overpriced. All well below: the requirement is ambiguous enough that industry is bidding a narrower reading, or the estimate over-scoped the work. One far below the rest: a possible buy-in or misunderstanding, which cost realism (on cost-type) or price realism (on fixed-price, if the solicitation provided for it) should test. Senior PMs treat the spread between proposals and the IGCE as information about the requirement, not just about the bidders.

An IGCE Package That Survives Review

What the CO, the pricing analyst, and a protest reviewer expect to find.

Structure matching the requirement **STRUCTURE**

One line per PWS task or CLIN; periods matching the contract structure.

Evaluators compare line by line. Make the lines match.

Labor detail **LABOR**

Categories, skill levels, hours per period, burdened rates, with sources.

The hours are the most-questioned number. Show the workload logic.

Rate sources **RATES**

Which schedules, contracts, or surveys, with dates, and how burdens were applied.

And the wage determination floor for any SCA occupations.

ODCs, subcontracts, transition, and specials **OTHER**

Everything that is not labor, itemized.

The items most often forgotten and most often the reason proposals exceed the estimate.

Assumptions, risks, and a signature **BASIS**

What was assumed, what could change it, who prepared and approved it, and the date.

Undated, unsigned estimates are not independent government cost estimates; they are spreadsheets.

WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY

They build the IGCE from the requirement, line by line, at burdened market rates, with a basis for every number. They keep it independent and controlled. They phase it by fiscal year for the funding request. They update it when the requirement changes. And when the proposals come in far from it, they ask what the gap says about the requirement before they ask what it says about the bidders.

BUILD ON THIS

- **Cost Estimating** Estimating methods, LCATs, and cost risk
- **Wrap Rates & Cost Structure** The burden stack behind a market rate
- **Competing in Source Selection** Cost realism and price realism from the bidder's side

Key Terms

Independent Government Cost Estimate (IGCE)

The government's own estimate of what a requirement should cost, prepared by the requiring activity before proposals are received, without contractor input, and structured to match the requirement.

Basis of Estimate (BOE)

The documented reasoning behind each number: the labor categories, hours, rates, materials, and assumptions, with sources. An IGCE without a BOE is a guess with a total.

Labor Category Mapping

Translating the requirement's tasks into the labor categories, skill levels, and hours needed to perform them. The core of a services IGCE.

Fully Burdened Rate

An hourly labor rate including fringe, overhead, G&A, and profit, as a contractor would bill it. IGCEs for services use burdened rates from market data, not government salaries.

Price Reasonableness

The CO's determination that a proposed price is fair. The IGCE is one basis for comparison, alongside competition, prior prices, and market data.

Cost Realism

On cost-type competitions, the evaluation of whether each offeror's proposed costs reflect what the work will actually cost. The IGCE is a reference point for realism analysis.

Funding Estimate

The IGCE's role in resourcing: it tells the resource manager how much to commit on the purchase request and in which fiscal years.

Analogous Estimating

Estimating from a similar prior contract, adjusted for scope and time. The most common IGCE method for recompetes and routine services.

Engineering Build-Up

Estimating from the ground up: each task decomposed into labor, materials, and other costs. Most defensible; most work.

Independence

The IGCE must be prepared without reliance on any prospective offeror's pricing. A contractor who helped build it has an OCI and the estimate is compromised.

Knowledge Check

What does "independent" mean for an IGCE?

A. Built without any market data

✓ **B. Built by the government without reliance on any prospective offeror's pricing or help**

C. Built by DCAA

D. Built after proposals are received

WHY

Independence means the government forms its own view. Market data is a proper input; a bidder's numbers are not.

What is the most common IGCE mistake on services?

A. Too many labor categories

✓ **B. Pricing contractor labor at government salary levels instead of fully burdened market rates**

C. Including ODCs

D. Using GSA rate tables

WHY

Contractor labor bills at two to three times base salary once burdens and profit are added. Government pay levels produce an estimate 40% to 60% low.

What are the three uses of an IGCE?

A. Marketing, training, and audit

✓ **B. Sizing the funding request, supporting the acquisition plan, and evaluating proposed prices**

C. Setting the contractor's fee

D. Determining the NAICS

WHY

Funding, planning, and price evaluation. A good IGCE serves all three.

On a cost-type competition, how is the IGCE used?

- A. It is released to offerors as the target
- ✓ **B. As the government's reference point for cost realism analysis of each offeror's proposed costs**
- C. It replaces the offerors' proposals
- D. It is not used

WHY

Cost realism compares proposed hours, rates, and mix to the government's view of what the work requires.

What is a basis of estimate?

- A. The total
- ✓ **B. The documented reasoning and sources behind each number in the IGCE**
- C. The contractor's proposal
- D. The wage determination

WHY

Without a BOE the estimate cannot support evaluation or survive review.

An IGCE understates the requirement and the PR is funded to it. Proposals come in higher. What happens?

- A. The CO awards anyway
- ✓ **B. The program must find more money, descope, or cancel, each costing weeks to months**
- C. The contractor absorbs the difference
- D. The IGCE is revised after award

WHY

Underfunding discovered at proposal receipt is one of the most common causes of delayed or failed awards.

Which estimating method is most appropriate for a recompile of a routine service with contract history?

A. Expert judgment alone

✓ **B. Analogous, starting from the prior contract and adjusting for scope and time**

C. Parametric only

D. None; use the incumbent's proposal

WHY

Analogous estimating from the government's own contract records, adjusted and documented, is standard for recompiles.

Why must an advisory contractor supporting the program office be walled off from the IGCE?

A. Because contractors cannot do math

✓ **B. Because access creates an organizational conflict of interest and a PIA exposure if the contractor or an affiliate might compete**

C. Because the IGCE is classified

D. Because DCAA requires it

WHY

The IGCE is source selection information. Contractor access must be managed as an OCI question.

All proposals come in well above the IGCE. What should the government consider first?

A. That the market is colluding

✓ **B. That the requirement may be larger than estimated, the rates stale, or risk unpriced; re-examine the estimate**

C. Cancelling the competition immediately

D. Awarding to the lowest anyway

WHY

A consistent gap is information about the requirement and the estimate, not only about the bidders.

Match the method to its best use:

CORRECT MATCHES

Engineering build-up	New requirements that must be defended in detail
Analogous	Recompetes with contract history
Parametric	High-volume standardized services with unit cost data
Expert judgment	Early rough order of magnitude and cross-checks

WHY

Build-up for new requirements; analogous for recompetes; parametric for standardized high-volume services; expert judgment for early rough orders.

Order the steps to build a services IGCE:

CORRECT ORDER

1. Create one line per PWS task or CLIN
2. Map labor categories, skill levels, and hours from workload data
3. Apply fully burdened market rates from documented sources
4. Add ODCs, subcontracts, transition, and special items
5. Write the basis of estimate and phase by fiscal year

WHY

Structure from the requirement, map labor and hours, apply burdened rates, add ODCs and specials, then document the basis.

What happens to the IGCE once the acquisition begins?

- A. It is published on SAM.gov
- ✓ B. It becomes source selection information: marked, controlled, and never disclosed to offerors
- C. It is sent to offerors as a target
- D. It is discarded

WHY

Disclosure to an offeror is a Procurement Integrity Act violation.

J&As, D&Fs, and the Approvals That Gate an Award

24 min

The written justifications the government must produce before it can limit competition, choose certain contract types, or take other decisions the FAR treats as exceptions. The seven exceptions to full and open competition and what each actually requires, the approval ladder, determinations and findings for T&M and options, the competition advocate's review, and how to write a justification that survives it.

Competition Is the Default, and Exceptions Are Written Down

The law requires full and open competition, and the entire apparatus of justifications exists to make exceptions rare, documented, and reviewable. When a program wants to award without competition, limit the field, use a contract type the FAR treats as disfavored, or take certain other actions, someone has to write down why, cite the authority, and get an official at the right level to sign. This lesson covers the two main instruments, the J&A for competition and the D&F for other decisions, what each exception actually requires, and how to write one that the competition advocate approves. It also covers the version most PMs meet first: the bridge contract, which is usually a J&A written to cover a planning failure.

IN PLAIN TERMS

Many companies require three quotes before buying anything. If an employee wants to skip the quotes and use one vendor, they fill out a form saying why, attach proof, and get a manager to sign. Bigger purchases need a more senior signature. "I like this vendor" does not get signed. A J&A (justification and approval) is that form for the government: a written reason, tied to a specific exception, approved at a level that rises with the dollar value.

The Seven Exceptions to Full and Open Competition (FAR 6.302)

EXCEPTION	WHAT IT REQUIRES	COMMON USES	WHAT REVIEWERS LOOK FOR
6.302-1 Only one responsible source	The need can be met only by one source (unique capability, proprietary data, follow-on to avoid duplication or delay)	Sole-source follow-ons; proprietary spares; OEM support	Evidence of uniqueness: what was tried, why alternatives fail, data rights situation, market research
6.302-2 Unusual and compelling urgency	Serious injury to the government from the delay of competition	Wartime needs; emergencies; a gap in a critical service	A real emergency; award limited to the urgency period (generally one year, extendable); not caused by lack of planning
6.302-3 Industrial mobilization, engineering or R&D capability, or expert services	Maintaining a source, establishing or maintaining an essential capability, or acquiring expert services for litigation	Keeping a production base alive; specific expert witnesses	The industrial base rationale, documented
6.302-4 International agreement	A treaty or agreement specifies the source	Foreign military sales specifying a supplier; NATO agreements	The agreement itself
6.302-5 Authorized or required by statute	A statute authorizes or requires a specific source or restricted competition	8(a) sole source; other set-aside sole sources; specified sources like Federal Prison Industries	The statutory authority and eligibility
6.302-6 National security	Disclosure of the government's needs would compromise national security	Classified programs	Not merely classified: disclosure itself must be the harm
6.302-7 Public interest	The agency head determines competition is not in the public interest	Rare; requires congressional notification	Agency head signature and notification

The Exception Everyone Reaches For: Only One Responsible Source

Most J&As cite 6.302-1. The test is whether the need can be met by only one source, and the evidence has to show it: what makes the source unique (proprietary data the government does not have rights to, a capability no one else has demonstrated, an installed base that only the original provider can support), what alternatives were considered and why they fail, and what market research established that no other source exists. Two sub-cases are common. Follow-on contracts for continued development or production, where switching would cause unacceptable delay or duplication of cost; the J&A has to quantify the delay or duplication. And brand-name or proprietary items, where the J&A has to address why the government cannot obtain data rights or an alternative. What does not satisfy 6.302-1: the incumbent knows the program, the customer prefers them, competing would be inconvenient, or the program office is out of time.

EXAMPLE (ILLUSTRATIVE)

A program office wants a sole-source follow-on with the firm that built Program X's mission planning software. Weak J&A (justification and approval): the firm knows the program, users like them, and a competition would take too long. None of that satisfies the only-one-source exception. Stronger J&A: the firm holds restricted rights to the source code and the government has no license to it. A sources sought drew no firm able to support the software without that code. The program estimates (hypothetical figures) that a new firm would need 14 months and about \$3.5 million to rebuild the baseline, duplicating work already paid for. The J&A also commits to removing the barrier: negotiate a data rights license during this contract so the next one can be competed.

Urgency: The Exception With a Clock

Unusual and compelling urgency covers real emergencies: the government will be seriously injured if it waits for full competition. Three constraints keep it honest. The award is limited to the minimum needed to meet the urgency, generally no more than one year (extendable once with a written determination). The agency must still solicit as many sources as practical under the circumstances; urgency justifies limited competition more often than pure sole source. And lack of advance planning is not an urgency. A J&A that says "the incumbent contract expires in 30 days and the follow-on is not ready" is describing a planning failure, and competition advocates increasingly refuse it or approve it once with a finding that the next one will not be approved.

THE BRIDGE J&A NOBODY WANTS TO WRITE

The bridge contract is where most PMs learn about J&As, and it is the least defensible one to write. The recompetes slipped, the incumbent's contract ends, and someone has to justify six more months sole source. It gets approved because the alternative is a gap in service. It also goes on the record, is posted publicly, and shows up in the next inspector general report on competition. The way to avoid writing a bridge J&A is the timeline lesson: start the follow-on eighteen months out.

What a J&A Must Contain (FAR 6.303-2)

- **Identification** Agency, contracting activity, the action, the contractor.
- **Description** The supplies or services, estimated value, and the period.
- **The authority** Which exception under 6.302, cited specifically.
- **Demonstration that the authority applies** The facts. This is the section that gets J&As rejected: it has to show why the exception fits, not assert that it does.
- **Efforts to obtain competition** What was done: sources sought, market research, publication, and why they did not produce competition.
- **Actions to remove barriers to future competition** What the agency will do so the next one can be competed: acquire data rights, develop a second source, plan the follow-on.
- **Market research** Description and results.
- **Any other facts supporting the justification** Including, for follow-ons, the cost and delay of switching.

- **Certifications** The CO certifies accuracy and completeness; technical and requirements personnel certify the supporting data; the approving official signs.

One sentence to teach your team: **anything less than full and open competition needs a written justification citing one of seven statutory exceptions, with facts that show the exception fits, a description of what was done to compete, and a plan to compete next time, signed at a level that rises with the dollar value.**

INTERMEDIATE

The Approval Ladder and Public Posting

J&A approval authority depends on dollar value, in bands the FAR sets and adjusts for inflation. At the lowest band the contracting officer approves; above it, the competition advocate; above that, the head of the procurement activity or a designee at general officer or senior executive level; and at the top, the agency's senior procurement executive. Each level adds review time and scrutiny. After award, the J&A is posted publicly (on SAM.gov) within a set period, with redactions for proprietary and security information, so that the justification is available to competitors, inspectors general, and Congress. A J&A is written knowing it will be read by the companies it excluded.

Determinations and Findings: The Other Written Approvals

A D&F is the FAR's instrument for decisions it conditions on specific findings. It states the findings of fact and the determination they support, and it is signed by the official the FAR designates. Common D&Fs in pre-award: that a time-and-materials or labor-hour contract is the only suitable type because the extent or duration of the work cannot be estimated with confidence (required for every T&M contract, at a rising approval level for longer periods); that including options is in the government's interest; that a multi-year contract is justified; that an unpriced contract action is necessary; that a contract with a government employee or their business is appropriate. The format is short (findings, determination, signature), but the findings have to be true and specific. A T&M D&F that says "the contractor prefers T&M" or "we always use T&M" does not meet the standard.

Common Pre-Award D&Fs

DECISION	REQUIRED FINDING	TYPICAL APPROVER
Use of a T&M or labor-hour contract	No other type is suitable; extent or duration of work cannot be estimated with confidence; a ceiling is established	CO, rising to higher levels for periods over three years
Inclusion of options	Options are in the government's interest; the option quantities and periods are reasonable	CO
Multi-year contracting	Stable requirement; funding available; substantial savings; specific statutory criteria	Head of agency or designee
Advance payments or unusual contract financing	Necessary and in the government's interest	Agency-designated official
Interagency acquisition (Economy Act)	In the government's interest; cannot be provided as conveniently or economically by contracting directly	Senior official per agency procedure

Fair Opportunity Exceptions on Multiple-Award Contracts

Orders under multiple-award IDIQs have their own competition rule: every holder must be given a fair opportunity to be considered for each order above the micro-purchase threshold. The exceptions parallel the J&A exceptions (urgency, only one holder capable, logical follow-on to an order already competed, a minimum guarantee, a statutory requirement) and above a dollar threshold require a written justification with approvals that mirror the J&A ladder. The logic is the same: limiting competition among holders needs a documented reason. The Contracts vs. Task Orders lesson covers the ordering process; here the point is that "we like the incumbent holder" is not an exception.

ADVANCED

Data Rights as the Root of Sole Source

A large share of only-one-source J&As trace to one fact: the government does not have the data rights to compete the work. The original equipment manufacturer holds the drawings, the software, or the interface data with limited or restricted rights, and no one else can build, maintain, or integrate without them. The J&A then says, truthfully, that only one source can perform. The "actions to remove barriers" section of those J&As is where the government commits to fixing it: negotiating a license, buying the data, developing a second source, or redesigning around an open interface. Competition advocates read that section closely, because a program that writes the same sole-source J&A every five years with the same barrier is not trying. The Data Rights lesson in the Compliance module explains how the barrier gets built and how to avoid building it.

Protests of J&As and the Standard of Review

A competitor can protest a sole-source award to GAO, and GAO reviews whether the agency's justification was reasonable: did the agency do adequate market research, does the record support the claimed exception, and did the agency act reasonably on what it knew. GAO has sustained protests where the J&A

rested on stale market research, where the agency did not consider a source that had told it of its capability, where "urgency" was the result of the agency's own delay, and where the follow-on rationale was asserted rather than quantified. The J&A that survives is the one written for that review: specific facts, current research, documented consideration of alternatives, and an honest account of how the situation arose.

Writing the "Demonstration" Section

The part of the J&A that decides its fate.

Name the specific uniqueness **FACTS**

Proprietary data with cited rights status; a demonstrated capability no other source has; an installed base only the OEM can support.

Not "extensive experience" or "knowledge of the program." Those describe every incumbent.

Show what was tried **RESEARCH**

Sources sought text and responses; database research; direct inquiries to potential sources and their answers.

A source that said it could perform and was not considered is a sustained protest.

Quantify the follow-on rationale **NUMBERS**

For a follow-on: the months of delay and dollars of duplicated cost a new source would cause, with the basis.

"Unacceptable delay" is an assertion. "14 months to qualify a second source at an estimated \$6M" is a finding.

Own the history **CANDOR**

If the situation results from prior decisions or delay, say so.

Reviewers know. A J&A that hides the cause loses credibility on everything else.

Commit to removing the barrier **FUTURE**

Specific actions with dates: data rights negotiation, second-source development, the competitive follow-on schedule.

This is what distinguishes a program working toward competition from one avoiding it.

WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY

They write J&As for the competition advocate and the protester, with specific facts and current research. They quantify follow-on delay and cost instead of asserting it. They tell the truth about how the situation arose. They commit to specific actions that make the next acquisition competitive, and they do them. And they plan far enough ahead that they rarely have to write a bridge.

BUILD ON THIS

- **OTAs & Streamlined Acquisition** The six reasons the government can skip competition, introduced
- **Data Rights and IP** The root cause of most sole-source justifications
- **Contracts vs. Task Orders** Fair opportunity on multiple-award vehicles



Acqlerate

Key Terms

Full and Open Competition

The statutory default: all responsible sources may compete. Anything less requires a documented exception under FAR 6.302, with approval that rises with dollar value.

Justification and Approval (J&A)

The written document justifying other than full and open competition under one of the seven statutory exceptions, with the facts, the market research, and the approving official's signature. Posted publicly after award (with exceptions).

Only One Responsible Source (6.302-1)

The most-used exception: the supplies or services are available from only one source and no other type will satisfy the need. Requires demonstrated uniqueness, not preference.

Unusual and Compelling Urgency (6.302-2)

The government would be seriously injured by the delay of full competition. Requires a real, documented emergency, limits the award to the period of urgency, and does not excuse lack of advance planning.

Industrial Mobilization and Other Statutory Exceptions

The remaining exceptions: industrial mobilization or expert services (6.302-3), international agreement (6.302-4), authorized or required by statute (6.302-5, which covers 8(a) and other set-aside sole sources), national security (6.302-6), and public interest (6.302-7).

Determination and Findings (D&F)

A written approval, by the required official, of a specific contracting action the FAR conditions on findings of fact: for example, that a T&M contract is the only suitable type, or that options are in the government's interest.

Competition Advocate

The official at each contracting activity who reviews J&As and challenges restrictions on competition. Approves or coordinates on J&As at certain thresholds.

Approval Thresholds

Dollar levels at which J&A approval authority moves from the CO to the competition advocate, to the head of the procurement activity, to the senior procurement executive. Adjusted for inflation; verify current figures.

Bridge Contract

A sole-source extension or short-term award to an incumbent to cover a gap while a competitive follow-on is delayed. Requires a J&A, usually under urgency or only-one-source, and is scrutinized because it usually reflects planning failure.

Fair Opportunity Exception

The parallel process for orders under multiple-award contracts: exceptions to giving every holder a fair opportunity, documented in a justification with its own thresholds and approvals (FAR 16.505).

Knowledge Check

Which document justifies other than full and open competition?

A. A D&F

✓ **B. A J&A citing one of the seven exceptions in FAR 6.302**

C. The acquisition plan

D. The IGCE

WHY

The J&A documents the exception, the facts, the market research, and the approval.

Which of these satisfies the "only one responsible source" exception?

A. The incumbent knows the program well

B. The customer prefers the incumbent

✓ **C. Proprietary data the government lacks rights to means only the OEM can perform, documented with market research**

D. The program office is out of time

WHY

Uniqueness must be demonstrated with facts. Familiarity, preference, and time pressure are not exceptions.

What limits an award justified by unusual and compelling urgency?

A. Nothing

✓ **B. It is limited to the minimum needed to meet the urgency, generally no more than one year, and does not excuse lack of advance planning**

C. It must be under \$1M

D. It must be to a small business

WHY

Urgency has a clock and requires soliciting as many sources as practical. Planning failure is not urgency.

A J&A says the incumbent contract expires in 30 days and the follow-on competition is not ready. What is this?

A. A valid urgency

✓ **B. A bridge contract justification reflecting a planning failure, which reviewers increasingly refuse or approve only once**

C. An international agreement exception

D. A national security exception

WHY

Bridges are approved to avoid gaps but are scrutinized and posted publicly as evidence of planning failure.

Which section of a J&A most often causes rejection?

A. Identification

✓ **B. The demonstration that the authority applies, when it asserts rather than shows**

C. The certifications

D. The description

WHY

The facts must show the exception fits. Assertions do not survive the competition advocate.

What is a Determination and Findings?

A. A protest decision

✓ **B. A written approval of a specific contracting action, stating findings of fact and the determination they support, signed by the designated official**

C. A DCAA audit report

D. The source selection decision

WHY

D&Fs are required for decisions the FAR conditions on findings, such as T&M contracts and options.

What finding is required to use a T&M contract?

- A. That the contractor prefers it
- ✓ **B. That no other contract type is suitable, the extent or duration of work cannot be estimated with confidence, and a ceiling is established**
- C. That it is under the simplified threshold
- D. That the work is commercial

WHY

The T&M D&F requires these specific findings; approval level rises for longer periods.

After award, what happens to a J&A?

- A. It is destroyed
- ✓ **B. It is posted publicly on SAM.gov within a set period, with redactions for proprietary and security information**
- C. It is sent only to the contractor
- D. It is classified

WHY

J&As are public documents read by excluded competitors, inspectors general, and Congress.

On a multiple-award IDIQ, what must the government do before limiting an order to one holder?

- A. Nothing; orders are exempt
- ✓ **B. Document a fair opportunity exception with the required justification and approvals**
- C. Obtain a J&A under FAR 6.302
- D. Notify SBA

WHY

Fair opportunity exceptions parallel J&A exceptions and require written justification above a threshold.

Match the situation to the exception:

CORRECT MATCHES

OEM holds proprietary data the government cannot get	6.302-1 Only one responsible source
Genuine emergency requiring immediate award	6.302-2 Unusual and compelling urgency
8(a) sole-source award	6.302-5 Authorized or required by statute
Treaty specifies the supplier	6.302-4 International agreement

WHY

Proprietary data is only-one-source; an emergency is urgency; 8(a) sole source is authorized by statute; a treaty-specified supplier is international agreement.

Order the J&A approval ladder from lowest to highest dollar band:

CORRECT ORDER

1. Contracting officer
2. Competition advocate
3. Head of the procurement activity or designee
4. Senior procurement executive

WHY

CO, then competition advocate, then head of the procurement activity or designee, then senior procurement executive.

On what basis has GAO sustained protests of sole-source awards?

A. The price was too high

✓ **B. Stale market research, failure to consider a source that identified itself, urgency caused by the agency's own delay, or unquantified follow-on rationale**

C. The contractor was large

D. The J&A was too long

WHY

GAO reviews whether the justification was reasonable on the record. Specific, current facts win; assertions lose.

Services Acquisition: How DoD Buys the Work That Is Most of Its Spending

24 min

Services are the largest share of DoD contract dollars and the least understood acquisition category. The services taxonomy, the requirements review and approval process, the services acquisition workshop, portfolio management, the recurring pressure to cut contracted services, and how a services requirement moves from need to award differently than a weapon system does.

Most of the Money Is Services, and Most of the Process Was Built for Hardware

The Foundations module teaches the acquisition lifecycle with milestones, phases, and program categories. That framework was designed for buying systems. But more than half of what DoD spends on contracts buys services: people doing work, from engineering support to base operations to IT to medical care. Services acquisition has its own process, its own oversight, and its own recurring political pressure, and a government PM or contractor who applies the hardware mental model to it gets surprised. This lesson covers how services are categorized, reviewed, approved, and managed, and how a services requirement moves through pre-award.

IN PLAIN TERMS

Buying a family car and hiring a weekly cleaning service are different purchases. The car is bought once, inspected at delivery, and owned. The cleaner is paid every month, judged on how the house looks each week, and rebid every few years. At budget time someone also asks whether you still need the service at all. DoD services work the same way: judged on outcomes, reviewed by a board before buying, and recompeted on a cycle.

The DoD Services Taxonomy (Portfolio Groups)

PORTFOLIO GROUP	EXAMPLES	TYPICAL ACQUISITION FEATURES
Knowledge-based	Program management support, engineering and technical services, advisory and assistance, IT services, education and training	Largest and most scrutinized; performance-based; OCI and personal services risks; frequent targets of reduction directives
Facility-related	Base operations, maintenance, custodial, grounds, utilities	SCA-covered labor; often set aside; wage determinations drive pricing
Logistics	Supply, warehousing, transportation support, maintenance	Performance-based with throughput metrics; government-furnished property heavy
Equipment-related	Maintenance, repair, and overhaul of systems and equipment	Often tied to data rights and OEM relationships; sustainment contracts
Electronics and communications	Network operations, telecommunications, cybersecurity services	CMMC and clearance requirements; rapidly changing requirements
Medical	Healthcare staffing, medical services	Credentialing; personal services authorized by statute in some cases
Research and development	Contracted R&D, studies, analysis	Cost-type; data rights and publication issues
Transportation and construction	Movement services; construction and A&E	Davis-Bacon; specialized procedures

Requirements Review: Justifying the Service Before Buying It

Because services are bought repeatedly and can substitute for government staff, DoD requires that services requirements above thresholds be reviewed and validated before acquisition through a services requirements review board or equivalent. The board asks: is the requirement still needed at this scale; is contracting the right approach (versus government performance, automation, or elimination); is it funded; does it duplicate something another organization already buys; does it involve inherently governmental or closely associated functions; and is the acquisition strategy sound. A requirement that passes goes to acquisition; one that does not goes back. For a PM, the board is a gate that must be scheduled and prepared for, with a justification that answers those questions before they are asked.

The Services Acquisition Workshop

For services acquisitions of any complexity, DoD encourages (and some components require above thresholds) a services acquisition workshop: a facilitated multi-day event where the multi-functional team builds the acquisition together. The team defines the outcomes, drafts the PWS and performance standards, designs the QASP, decides the acquisition strategy and contract type, identifies risks, and builds the schedule. The value is that the PM, the CO, the COR, and the resource manager agree on the requirement and the approach before the package is written, rather than discovering disagreements in

review. The workshop produces most of the requirements package in draft, and teams that use it report shorter PALT because the package does not come back.

THREE PEOPLE WHO WOULD HAVE WRITTEN IT DIFFERENTLY

The recurring failure in services acquisition is a requirement written by someone who will not manage the contract, handed to a CO who did not help shape it, administered by a COR who inherited both. Each of them would have written it differently. The workshop exists to put all three in a room for three days before any of it is written. Teams that skip it because they are busy spend the time later in package returns, protests, and an unenforceable QASP.

How Services Pre-Award Differs From Hardware

- **No milestones, but a review board** Services do not pass Milestone B; they pass the SRRB. The gate is different but real.
- **The requirement is a PWS, not a specification** Outcomes and standards rather than technical performance measures. The Requirements Writing lesson covers it.
- **Labor law drives pricing** Wage determinations, H&W, and the price adjustment clause shape the cost structure. The Labor Standards lesson covers it.
- **Recompetes are the norm** Most services contracts are recompeteted every five years. Incumbency, transition, and workforce continuity are central issues.
- **Personal services and inherently governmental risks** Services requirements are where these problems live. Every review checks for them.
- **Portfolio pressure** Services spending is managed and cut by category. A requirement in a targeted category (advisory and assistance, for example) needs a stronger justification.
- **Vehicle-heavy** Most services are bought as orders under IDIQs, GWACs, and GSA schedules rather than standalone contracts.

One sentence to teach your team: **services are most of DoD's contract spending, they are validated by a review board rather than a milestone, built by a multi-functional team, bought mostly through vehicles, priced by labor law, and recompeteted every few years, and the process has to be planned for those facts.**

INTERMEDIATE

Portfolio Management: Seeing the Spend by Category

DoD manages services as portfolios: each component has a senior services manager who sees spending by taxonomy category across the organization, looks for duplication (six program offices each buying program management support separately), consolidates where sensible (a single vehicle or a shared contract), compares prices across similar requirements, and reports to the department. For a PM, this means a new services requirement is examined in the context of what the organization already buys. "Is there an existing

vehicle or contract that could provide this" is a question the PM should answer before the portfolio manager asks it. For a contractor, portfolio management explains why agencies increasingly buy through large category vehicles and why a capability in a targeted category is harder to sell as a standalone.

The Contractor Inventory and the Services Workforce Question

Statute requires DoD to inventory its contracted services annually: what functions contractors perform, how many labor hours, at what cost, and whether any of it is inherently governmental or closely associated. The inventory feeds decisions about insourcing (converting contracted work to government performance), about the total force mix, and about services reductions. A requirement in the inventory that looks like it could be performed by government employees at lower cost, or that appears closely associated with inherently governmental work, is a candidate for insourcing or elimination. Government PMs should know how their contracted services are reported in the inventory; contractors should know that the inventory is where their work is compared to a civilian alternative.

Services Acquisition Approvals by Scale (Illustrative; Verify Current Thresholds)

SCALE	TYPICAL REVIEW	TYPICAL APPROVER
Below the SRRB threshold	Local requirements approval; CO review	Requiring activity leadership
SRRB threshold to component threshold	Services requirements review board; acquisition strategy review	Component senior services manager or designee
Large services acquisitions	Component-level strategy approval; peer review at DoD thresholds	Component acquisition executive; DoD-level for the largest
Special categories (advisory and assistance, IT services)	Additional category-specific approvals and reporting	Category managers; CIO for IT

Recompetes: The Services PM's Recurring Event

Because services contracts run five years or so and then recompetete, a services PM is always in some phase of a recompetete. The cycle: two years before expiration, start the requirements review and market research; eighteen months before, the workshop and the package; twelve months before, the solicitation; six months before, award; then transition. The Capture module covers recompetetes from the contractor's side. From the government side, the questions are whether the requirement has changed, whether the incumbent's performance argues for anything, whether the field has changed (new small businesses, a grown-large incumbent), and how transition will be handled so service does not lapse. A PM who starts at eighteen months instead of twenty-four is the PM who writes the bridge J&A.

ADVANCED

Services Reduction Directives: Surviving the Cut

Every few years a directive arrives to reduce contracted services spending by a percentage, often targeting knowledge-based services, advisory and assistance, or management support. The mechanism is usually a review of every requirement in the targeted category with a presumption of reduction unless justified.

Requirements survive when the owner can show a specific mission outcome the service delivers, a measurable performance record, a comparison showing contracting is cheaper or faster than alternatives, and a clear separation from inherently governmental work. They are cut when the justification is "we have always had this support" or when the PWS is a list of positions. Senior government PMs keep the justification current between directives, because the directive gives days to respond.

Designing Services for Competition and Continuity

Two objectives in tension shape mature services strategies. Competition: structuring requirements so that multiple firms, including small businesses, can compete each cycle, through scope that is not written around the incumbent, transition provisions that make switching feasible, and government ownership of the data and tools the service depends on. Continuity: avoiding the disruption of a switch, through transition-in periods, workforce continuity provisions (within the limits current policy allows), and government-retained knowledge. The strategies that work treat continuity as something the government engineers (owning the knowledge base, the tools, the data) rather than something it buys by staying with the incumbent. That is what makes the recompile real.

A Services Requirement, End to End

The path for a mid-size knowledge-based services requirement.

24 months out: Requirements review **VALIDATE**

Justify the need, the approach, and the funding to the services review board; check the portfolio for existing vehicles.

Answer the insourcing and inherently governmental questions here, in writing.

20 months out: Market research **RESEARCH**

Sources sought, vehicle survey, prior contract review, small business analysis.

The Market Research lesson. The Rule of Two is decided on this.

18 months out: Services acquisition workshop **BUILD**

The multi-functional team drafts the PWS, standards, QASP, strategy, and schedule.

Most of the package leaves the room in draft.

14 months out: Package to contracting **SUBMIT**

PWS, IGCE, market research, funding, D&Fs, coordination record.

Complete on the first submission.

10 to 4 months out: Solicit, evaluate, award **AWARD**

Vehicle order or standalone competition; evaluation; award; transition planning with the incumbent and the winner.

Transition-in overlaps the incumbent's last weeks; the QASP starts on day one.

WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY

They treat the services review board as a gate to prepare for, with a justification that answers insourcing and inherently governmental questions before they are asked. They run the workshop and build the package with the CO and COR in the room. They check the portfolio for existing vehicles before proposing a new contract. They keep the mission justification current so a reduction directive finds it ready. And they start recompetes two years out, every time.

BUILD ON THIS

- **Writing the Requirement** The PWS and QASP the workshop produces
- **IDIQs, GWACs & A&AS** The vehicles most services are bought through
- **Labor Standards** The wage rules that price services labor



Acqlerate

Key Terms

Services Acquisition

The acquisition of work performed by contractors rather than products delivered: knowledge-based, logistics, facilities, engineering, medical, IT, research, and more. More than half of DoD contract obligations.

Services Taxonomy

DoD's categorization of services into portfolio groups (knowledge-based, facility-related, logistics, equipment-related, electronics and communications, medical, transportation, research and development, construction). Used for portfolio management and reporting.

Services Requirements Review Board (SRRB)

The component-level board that validates services requirements above thresholds before acquisition: is the service needed, is it the right approach, could it be done another way, is it funded.

Services Acquisition Workshop (SAW)

A structured, facilitated event (offered through DAU) that brings the PM, CO, COR, and stakeholders together to build the requirement, the acquisition strategy, and the QASP for a services acquisition.

Senior Services Manager

The official in each DoD component responsible for services acquisition policy, oversight, and portfolio management, with approval authority for large services acquisitions.

Portfolio Management

Managing services spend by category across an organization rather than contract by contract: consolidating similar requirements, sharing vehicles, comparing prices, and reducing duplication.

Contracted Services Reduction

Periodic directives to reduce contracted services spending, often framed as cutting advisory and assistance or knowledge-based services, that force requirements owners to justify what they buy.

Multi-Functional Team

The group that owns a services acquisition through its life: the requirements owner, the CO, the COR, the resource manager, small business specialist, and functional experts. The SAW forms it.

Performance-Based Services Acquisition

The FAR-preferred approach: outcomes, standards, QASP, and incentives. The Requirements Writing lesson covers the document; this lesson covers the process around it.

Contractor Inventory (Inventory of Contracted Services)

DoD's annual accounting of contracted services by function, hours, and cost, required by statute and used to justify and manage the services workforce.

Knowledge Check

Roughly what share of DoD contract obligations buys services?

- A. About 10%
- B. About a quarter
- ✓ C. More than half
- D. Nearly all

WHY

Services are the largest category of DoD contract spending, exceeding products.

What gate does a services requirement pass instead of a milestone decision?

- A. A source selection
- ✓ B. A services requirements review board (or equivalent) that validates need, approach, and funding
- C. A DCAA audit
- D. A CPARS review

WHY

Services do not have milestones; the SRRB validates the requirement before acquisition.

What is a services acquisition workshop?

- A. A contractor training event
- ✓ B. A facilitated multi-day event where the multi-functional team builds the PWS, QASP, strategy, and schedule together
- C. A DAU certification course
- D. A pricing review

WHY

The SAW puts the PM, CO, COR, and resource manager in a room before the package is written.

Which portfolio group is most often targeted by services reduction directives?

A. Facility-related

✓ **B. Knowledge-based, including advisory and assistance and management support**

C. Transportation

D. Construction

WHY

Knowledge-based services are the largest and most scrutinized category.

What does the annual inventory of contracted services feed?

A. CPARS ratings

✓ **B. Decisions about insourcing, total force mix, and services reductions, and checks for inherently governmental work**

C. Wage determinations

D. Data rights assertions

WHY

The inventory compares contracted functions to government alternatives and flags closely associated work.

Why should a PM check the portfolio for existing vehicles before proposing a new services contract?

A. It is optional

✓ **B. Portfolio management looks for duplication and consolidation; an existing vehicle may be faster and will be asked about**

C. New contracts are prohibited

D. Vehicles are always cheaper

WHY

Services are managed by category across the organization. Duplication is what portfolio managers look for.

When should the recompetete cycle for a five-year services contract begin?

A. Six months before expiration

✓ **B. About two years before expiration, with the requirements review and market research**

C. At expiration

D. One year before

WHY

Starting at eighteen months or less is how bridge J&As get written.

Which services requirement is most likely to survive a reduction directive?

A. One described as a list of positions

✓ **B. One with a specific mission outcome, a measured performance record, a cost comparison to alternatives, and clear separation from inherently governmental work**

C. One that has existed the longest

D. One with the largest contractor

WHY

Directives presume reduction unless justified. The justification must be specific and current.

How do mature services strategies achieve continuity without sacrificing competition?

A. By staying with the incumbent

✓ **B. By engineering continuity through government-owned knowledge, tools, and data, plus transition provisions, so switching is feasible**

C. By avoiding recompetes

D. By using sole source

WHY

Continuity the government owns makes the recompetete real; continuity bought from the incumbent does not.

Match the services feature to its consequence:

CORRECT MATCHES

SCA-covered labor	Wage determinations drive pricing
Bought through vehicles	Fair opportunity rules apply at the order level
Knowledge-based category	Targeted by reduction directives
Five-year recompetete cycle	Transition and workforce continuity planning

WHY

SCA-covered labor means wage determinations; vehicle purchasing means fair opportunity; knowledge-based means reduction scrutiny; recompetete cycles mean transition planning.

Order a services requirement from need to award:

CORRECT ORDER

1. Services requirements review board
2. Market research
3. Services acquisition workshop
4. Package to contracting
5. Solicit, evaluate, award, and transition

WHY

Requirements review, market research, workshop, package, then solicit and award.

Why do services acquisitions carry higher personal services and inherently governmental risk than hardware?

A. They do not

✓ **B. Because they buy people doing work alongside government staff, where supervision and decision authority can blur**

C. Because they are larger

D. Because they use cost-type contracts

WHY

Every services review checks for these. The Requirements Writing lesson covers the language that creates the problems.

Choosing Contract Type and Vehicle: The Government's Decision

24 min

The Contracting module explains what each contract type is. This lesson is about deciding: the risk analysis behind the type, why DoD leans fixed-price and when that is wrong, designing incentives that change behavior, and choosing between a new contract and an order under an existing vehicle, including the fair opportunity and scope rules that decide whether an order is legal.

Two Decisions That Shape the Whole Contract

Before a solicitation can be written, the government decides what kind of contract to award and where to award it. Contract type sets who bears the cost risk and what the contractor is paid for. Vehicle sets who can compete, how long it takes, and what rules apply. Both are made in acquisition planning, both are constrained by the market research, and both are frequently made by default: cost-plus because that is what the last contract was, or the agency's IDIQ because it exists. This lesson is about making them on purpose. The Contract Types and vehicle lessons in the Contracting module explain the instruments; here the question is how to choose.

IN PLAIN TERMS

Repainting a bedroom is easy to price, so a painter gives a fixed bid and eats the cost if it takes longer. Opening a wall in a ninety-year-old house is different: nobody knows what is behind it, so a sensible contractor charges for time and materials and you pay for what turns up. Contract type follows the same logic. Fixed price when the work can be priced, cost-type when it cannot.

The Contract Type Decision: Four Questions

The FAR frames contract type as a risk allocation decision and lists the factors; in practice four questions do most of the work. First, how well can the requirement be defined? If the government can specify the outcome and the contractor can estimate the cost with confidence, fixed price is appropriate and the contractor carries the risk it can manage. If the work is development, research, or undefined, cost-reimbursement is appropriate because no contractor can price the unknown, and forcing fixed price produces either no bidders or a bidder who will fail. Second, how much cost uncertainty exists and who is better placed to control it? Third, what will the market accept? Some work will not attract fixed-price bids at any reasonable price. Fourth, can the government administer the type? Cost-type contracts require an approved accounting system on the contractor's side and surveillance capacity on the government's. A cost-type award to a contractor without an adequate system, or administered by an office without the staff, is a problem from day one.

Matching Type to Situation

SITUATION	APPROPRIATE TYPE	WHY	TRAP
Recurring service with stable, measurable outcomes	Firm-fixed-price (with performance standards)	Contractor can price it; government pays for results	Fixed price on a requirement the government keeps changing produces constant modifications
Production of a defined item after development	FFP or fixed-price incentive	Design is stable; learning curve is estimable	Fixing price before the design is stable transfers unmanageable risk and invites forward losses
Development with technical uncertainty	Cost-plus-incentive-fee or cost-plus-fixed-fee	No one can price the unknown; incentives reward cost control	Cost-plus with no incentive and weak surveillance rewards nothing
Level of effort support where the work is defined by hours	T&M or labor-hour (with a D&F), or cost-plus term	Extent cannot be estimated; government controls the hours	T&M without ceiling discipline or surveillance is an open checkbook
Services where performance quality matters and is subjective	CPAF or FFP with award fee or award term	Award fee rewards judged quality; award term extends good performers	Award fee without a rigorous evaluation plan becomes an entitlement
Commercial products and services	FFP (required for commercial, with narrow exceptions)	Market prices exist	Misclassifying non-commercial work as commercial to get FFP terms

DoD's Fixed-Price Preference, and When It Is Wrong

DoD policy and repeated congressional direction favor fixed-price contracts where the risk allows, on the theory that they discipline cost and simplify administration. The preference is right for most services and production. It is wrong, and expensively so, for development with real technical uncertainty: fixed-price development contracts on immature technology have produced some of the largest contractor losses in defense history and, in several cases, failed programs, because the contractor could not absorb the risk and the government could not get the product. The acquisition plan has to show the reasoning either way. A PM choosing cost-type for development should document the uncertainty; one choosing fixed-price for development should be able to show the design is mature enough to price. "Policy prefers fixed price" is not a reason. "The design is at CDR and the production process is proven" is.

ASK INDUSTRY WHAT TYPE THEY WOULD BID

The contract type conversation with industry, during market research, is worth more than the policy memo. Ask potential offerors what type they would bid and why. If the credible firms all say they will not bid fixed-price on this requirement, the government can either change the requirement so it can be priced, accept cost-type, or run a competition nobody serious enters. Industry's answer is data about the requirement's risk, and the acquisition plan should record it.

The Vehicle Decision: New Contract or Existing Order

For most services and many products, the fastest path to award is an order under an existing vehicle: the agency's own IDIQ, a multi-agency contract, a GWAC, or a GSA schedule. The trade is speed and reduced source selection effort against a field limited to vehicle holders and rules about scope and fair opportunity. The decision runs: is there a vehicle whose scope clearly covers the requirement; are the holders capable and enough of them to get real competition; do the vehicle's terms (contract types allowed, ceiling, ordering period, small business provisions) fit; and is using it in the government's interest compared to a standalone competition, considering fees for assisted acquisition and the loss of a broader field. If yes to all, the order is usually the better choice. If the scope is a stretch or the holders are weak, a standalone contract is worth the time.

EXAMPLE (ILLUSTRATIVE)

A program office has two pieces of work. Piece one is ongoing help desk support with stable, measurable outcomes. Piece two is developing a new data tool that has never been built. Type: help desk support is a recurring service, so firm-fixed-price with performance standards. For the tool, the office asks five potential offerors (hypothetical numbers) what type they would bid. Four say they will not bid fixed price on unproven technology, so the plan uses cost-plus-incentive-fee and records the answers. Vehicle: the agency's IDIQ (indefinite delivery, indefinite quantity contract) clearly covers help desk work, has several capable holders, and allows firm-fixed-price orders, so an order is faster. The IDIQ allows only fixed-price orders, so the tool cannot go there. It gets a standalone contract.

The Rules That Make an Order Legal

- **Scope** The order must be within the scope of the vehicle's base contract as competed. An order for work the base contract did not contemplate is an improper sole-source award, protestable at GAO, and a finding in inspector general audits of vehicle misuse.
- **Fair opportunity** Under a multiple-award vehicle, every holder gets a fair opportunity to be considered for each order above the micro-purchase threshold, with exceptions that must be justified. Above a dollar threshold, orders require a notice, a fair opportunity process with stated evaluation factors, and debriefs; above a higher threshold, orders are protestable at GAO.
- **Ordering period and ceiling** The order must be placed within the vehicle's ordering period and within its ceiling. Vehicles nearing expiration or ceiling produce orders that cannot be exercised.
- **Contract type allowed** The vehicle specifies which types its orders may use. A vehicle that allows only FFP cannot support a cost-type order.
- **Interagency determination** Using another agency's vehicle requires a written determination that it is in the government's interest and within scope, and, for assisted acquisitions, an agreement with the servicing agency.
- **Small business at the order level** Under the FAR overhaul, setting aside an order under a multiple-award contract is discretionary rather than required, and not protestable; the small business specialist coordinates.

One sentence to teach your team: **contract type follows the risk, fixed price when the work can be priced and cost-type when it cannot, and an order under a vehicle is faster than a new contract only when the requirement is within the vehicle's scope, the holders can compete, and the order rules are followed.**

INTERMEDIATE

Designing Incentives That Change Behavior

An incentive works when the contractor can affect the measured outcome, the measure is objective or judged by a disciplined process, and the money at stake is large enough to matter against the cost of achieving it. Cost incentives (CPIF and FPIF share lines) reward underruns and penalize overruns along a formula; they work when the target cost is realistic and the contractor controls the cost drivers. Award fee rewards judged performance in areas that resist objective measurement; it works when the evaluation plan is specific, the board is disciplined, and the fee is actually withheld for poor performance rather than paid as a habit. Award term extends the contract for good performance and is a powerful incentive on services where the contractor values the next option year. Schedule incentives work when the date matters and the contractor controls the path. Incentives fail when the metric is gameable, when the government does not enforce it, or when the amount at stake is trivial. The CPAF and Award Fee lesson in the Finance module covers the mechanics from the contractor's side; the government designs them here.

Incentive Design Checklist

QUESTION	IF NO	FIX
Can the contractor actually affect the measured outcome?	The incentive rewards luck or government actions	Measure something the contractor controls, or use a different incentive
Is the measure objective, or judged by a disciplined process?	Disputes and gaming	Objective metrics where possible; a written award fee plan with criteria where not
Is the money at stake meaningful?	The contractor ignores it	Size the fee pool or share line to the cost of the behavior wanted
Will the government enforce it?	Award fee becomes an entitlement	A board that withholds; documented ratings; rollover only when policy allows
Does it align with what the program needs?	A cost incentive on a program where schedule is what matters	Match the incentive to the program's real priority
Is the target realistic?	An unachievable target incentivizes nothing	Base targets on the IGCE and market data, not on the funding available

Assisted vs. Direct Acquisition

When using another agency's vehicle, the requiring agency can place the order itself (direct acquisition, under the vehicle's ordering rules and any required delegation) or have the servicing agency's contracting office run the acquisition (assisted acquisition, for a fee, typically a percentage of the order value). Assisted acquisition buys contracting capacity and vehicle expertise; it costs the fee and some control, and the requiring agency still owns the requirement, the IGCE, the COR, and the funding. The GSA Vehicles lesson covers the largest assisted acquisition organization. The decision is usually about contracting office capacity: an agency whose own office is backed up eight months may reach award faster through assisted acquisition despite the fee.

Options, Ordering Periods, and the Length of the Commitment

Part of the type and vehicle decision is duration. A base period plus options (typically one base year and four one-year options for services) gives the government an annual decision point and requires an option D&F. Multi-year contracts (a different thing, with statutory criteria and funding rules) commit to more than one year of a stable requirement in exchange for savings. Ordering periods on IDIQs set how long orders may be placed, and the vehicle's expiration is a planning constraint for every order under it. A PM should know the vehicle's expiration date and ceiling before planning an order, and should structure a standalone contract's options around the program's real decision points rather than a default template.

ADVANCED

Hybrids: Different Types for Different CLINs

A contract does not have to be one type. A single award can have FFP CLINs for defined work (a base service), cost-type CLINs for undefined work (surge or engineering studies), and T&M CLINs for hourly support, each with its own pricing and administration. Hybrids let the government allocate risk precisely rather than forcing a single type on a mixed requirement. The costs: administrative complexity, the need to keep work charged to the right CLIN (a cost-type CLIN next to an FFP one invites migration of cost to the reimbursable side), and separate D&Fs where required. Senior PMs use hybrids deliberately for requirements with genuinely different risk profiles and avoid them where the segregation would be hard to enforce.

Vehicle Misuse: What Auditors Find

Inspector general reports on contract vehicle use find the same things repeatedly: orders outside the vehicle's scope (an IT vehicle used for program management support), fair opportunity exceptions without adequate justification, orders placed to avoid the competition and review that a standalone contract would require, assisted acquisition fees paid without a determination that it was in the government's interest, and orders on expired or over-ceiling vehicles. Each is a finding against the requiring activity as well as the contracting office. A PM choosing a vehicle should be able to point to the vehicle's scope language and show the requirement fits within it, and should treat "it is easier" as a warning sign rather than a reason.

The Type and Vehicle Decision Record

What the acquisition plan should contain for these two decisions.

Requirement definition assessment **TYPE**

How well the work can be specified and estimated, with reference to the PWS and IGCE.

The foundation for the type choice.

Risk and market analysis **TYPE**

Cost uncertainty, who controls it, and what industry said it would bid.

Market research responses on contract type, cited.

Type selection and incentive design **TYPE**

The type per CLIN, the reasoning, the incentive structure, and the D&Fs required.

Fixed-price development or cost-type routine services each need an explicit rationale.

Vehicle analysis **VEHICLE**

Vehicles considered, scope fit for each, holder capability, ordering period and ceiling, contract types allowed, fees.

And the interagency determination if another agency's vehicle is chosen.

Competition at the order level **VEHICLE**

How fair opportunity will be conducted, or the exception and its justification; small business at the order level.

The order-level equivalent of the competition section.

WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY

They choose contract type from the requirement's definition and the market's answer, not from policy preference or last time's template. They design incentives the contractor can affect and the government will enforce. They check a vehicle's scope, holders, ceiling, and expiration before choosing it. They use hybrids where risk profiles differ and avoid them where charging discipline would fail. And they write the reasoning down, because the competition advocate, the peer reviewers, and eventually an auditor will ask.

BUILD ON THIS

- **Contract Types** The instruments this lesson chooses among
- **GSA Vehicles: OASIS+ & AAS-D** Assisted acquisition and the buy decision
- **CPAF, Burn Rate & Award Fee** Award fee from the contractor's side

Key Terms

Contract Type Selection

The reasoned choice among fixed-price, cost-reimbursement, incentive, and T&M arrangements based on the requirement's definition, the cost uncertainty, the market, and the government's ability to administer. Documented in the acquisition plan.

Risk Allocation

The principle that contract type determines who bears cost risk: the contractor under fixed price, the government under cost-reimbursement, shared under incentives.

Requirement Definition

How completely the work can be specified. Well-defined requirements support fixed price; undefined ones require cost-type. The single most important input to the type decision.

Incentive Structure

The fee or price arrangement that rewards the contractor for outcomes the government values: cost underruns (CPIF, FPIF share lines), performance (award fee, award term), schedule, or a combination.

Contract Vehicle

An existing contract under which orders can be placed: an agency IDIQ, a multi-agency contract, a GWAC, a GSA schedule, or a blanket purchase agreement.

Scope of the Vehicle

The work the vehicle's base contract covers. An order outside that scope is an improper sole-source award, protestable and subject to audit.

Fair Opportunity

The requirement under FAR 16.505 that every holder of a multiple-award contract be given a fair opportunity to be considered for each order, with limited exceptions.

Assisted Acquisition

Using another agency's contracting office (GSA's assisted acquisition services, for example) to run the acquisition on the requiring agency's behalf, for a fee.

Direct Acquisition

The requiring agency's own contracting office places the order under another agency's vehicle, under a delegation or the vehicle's ordering rules.

Interagency Acquisition Determination

The written finding, required before using another agency's vehicle or services, that doing so is in the government's best interest and that the vehicle's scope covers the requirement.

Knowledge Check

What is the single most important input to the contract type decision?

- A. Agency policy
- ✓ **B. How well the requirement can be defined and estimated**
- C. The contractor's preference
- D. The dollar value

WHY

Well-defined work supports fixed price; undefined work requires cost-type because no one can price the unknown.

When is DoD's fixed-price preference most likely to be wrong?

- A. Recurring services
- B. Production of a stable design
- ✓ **C. Development with real technical uncertainty**
- D. Commercial products

WHY

Fixed-price development on immature technology has produced large losses and failed programs.

Credible firms tell the government during market research that they will not bid fixed-price on a requirement. What should the government do?

- A. Proceed with fixed-price anyway
- ✓ **B. Treat it as data about the requirement's risk: change the requirement so it can be priced, accept cost-type, or expect a failed competition**
- C. Cancel the requirement
- D. Award sole source

WHY

Industry's answer on contract type is evidence the acquisition plan should record and act on.

An order is placed under an IT services vehicle for program management support not contemplated by the base contract. What is this?

A. A normal order

✓ **B. An out-of-scope order, effectively an improper sole-source award, protestable and an audit finding**

C. A fair opportunity exception

D. An assisted acquisition

WHY

Orders must be within the vehicle's scope as competed. Scope stretching is the most common vehicle misuse.

What does fair opportunity require on a multiple-award vehicle?

A. Rotation among holders

✓ **B. That every holder be given a fair opportunity to be considered for each order above the micro-purchase threshold, with justified exceptions**

C. Award to the lowest price

D. A full source selection

WHY

Above thresholds, orders require notice, stated factors, debriefs, and are protestable.

Which condition makes an award fee incentive fail?

A. A written award fee plan

✓ **B. A board that pays the fee as a habit regardless of performance**

C. A meaningful fee pool

D. Specific evaluation criteria

WHY

Award fee works only when it is actually withheld for poor performance.

What is the difference between assisted and direct acquisition under another agency's vehicle?

A. None

✓ **B. In assisted acquisition the servicing agency runs the acquisition for a fee; in direct acquisition the requiring agency's own contracting office places the order**

C. Direct acquisition requires a J&A

D. Assisted acquisition is only for GSA

WHY

Assisted buys contracting capacity at the cost of a fee and some control.

What is required before using another agency's vehicle?

A. Nothing

✓ **B. A written interagency determination that it is in the government's interest and within the vehicle's scope**

C. A J&A

D. SBA approval

WHY

The determination is required, and for assisted acquisitions, an agreement with the servicing agency.

What is the main risk of a hybrid contract with FFP and cost-type CLINs?

A. It is prohibited

✓ **B. Cost migrating from the fixed-price work to the reimbursable CLIN if charging discipline is weak**

C. Higher fee

D. Loss of small business credit

WHY

Hybrids allocate risk precisely but require enforcing which work charges to which CLIN.

Match the situation to the appropriate contract type:

CORRECT MATCHES

Recurring service with measurable outcomes	Firm-fixed-price with performance standards
Development with technical uncertainty	Cost-plus-incentive-fee
Support where hours cannot be estimated	T&M with a D&F and ceiling
Service where quality is judged, not measured	Award fee or award term

WHY

Stable services fit FFP; uncertain development fits cost-plus incentive; undefined hours fit T&M with a D&F; subjective service quality fits award fee.

Order the vehicle decision questions:

CORRECT ORDER

1. Does a vehicle's scope clearly cover the requirement?
2. Are the holders capable and numerous enough for real competition?
3. Do the vehicle's terms (types, ceiling, period, small business) fit?
4. Is using it in the government's interest versus a standalone competition?

WHY

Scope first, then holder capability, then terms, then the government's interest compared to a standalone.

What do inspector general audits of vehicle use most commonly find?

- A. Vehicles are underused
- ✓ **B. Out-of-scope orders, unjustified fair opportunity exceptions, orders placed to avoid competition, fees paid without a determination, and orders on expired or over-ceiling vehicles**
- C. Too much competition
- D. Excessive small business use

WHY

Each is a finding against the requiring activity as well as contracting. "It is easier" is a warning sign.

Building the Solicitation and the Evaluation Plan

26 min

Turning the requirement into an RFP that produces comparable, evaluable proposals and an award that survives protest. Section L and Section M written from the government's side, the source selection plan, choosing tradeoff or LPTA, designing evaluation factors that discriminate, the draft RFP, and the errors that GAO sustains protests on.

The Solicitation Is a Promise About How You Will Decide

When the government releases an RFP, it is telling industry two things: here is what we need (the requirement) and here is how we will pick (Sections L and M). The second promise is binding. Evaluate on something not in Section M, weight factors differently than stated, or treat two offerors differently on the same issue, and the award will be protested and, often, sustained. So the solicitation has to be built backward from the decision: what will actually distinguish a good offer from an adequate one, how will the evaluators tell, and how will the source selection authority explain the choice. This lesson covers building it so the evaluation is fair, the decision is defensible, and industry proposes what the government wants to see.

IN PLAIN TERMS

A cooking contest posts its judging sheet in advance: taste 50%, presentation 30%, originality 20%. If the judges then crown the winner for speed, which was never on the sheet, the other cooks have a real complaint, and they will make it. The sheet told everyone what to cook for. Section M is the judging sheet. Offerors build proposals to it, and the government has to score exactly what it posted, weighted the way it said.

Start With the Source Selection Plan

Before Section M is written, the government writes the source selection plan: who is on the evaluation team and in what roles (the SSA, an advisory council if used, the evaluation board and its technical, past performance, and price teams, the CO), what factors and subfactors will be evaluated and their relative importance, the rating scales and definitions, how price will be evaluated, whether discussions are planned, and the schedule. Section M is then written from the plan, and Section L is written so that proposals arrive in a form the plan can evaluate. Writing Section M first and the plan afterward produces evaluation methods the factors cannot support and page limits that do not match what the evaluators need.

Tradeoff vs. LPTA: Choosing the Basis for Award

	TRADEOFF (BEST VALUE)	LOWEST PRICE TECHNICALLY ACCEPTABLE
When it fits	Quality differences among offers matter and the government is willing to pay for them	The requirement is well-defined, quality differences above the acceptability bar have little value, and price should decide
What the government can do	Award to a higher-priced offer whose additional benefits are worth the difference, with a documented rationale	Award to the lowest-priced acceptable offer; cannot pay more for better
Evaluation effort	Higher: strengths and weaknesses, comparative assessment, tradeoff documentation	Lower: acceptable or not on each factor, then price
Industry behavior	Proposes discriminators and prices them	Proposes the minimum acceptable and prices to win
Statutory constraints (DoD)	None specific	Restricted: DoD may use LPTA only when specific conditions are met and documented, and not for certain categories (for example, some knowledge-based, cybersecurity, and personal protective equipment acquisitions)
Protest exposure	Inadequate tradeoff documentation; unequal treatment	Unstated acceptability standards; evaluating quality when the solicitation said acceptability

Designing Factors That Discriminate

A factor earns its place if it will separate offerors on something the government cares about and can evaluate. The common failure is factor lists that evaluate everything: technical approach, management approach, staffing, transition, quality control, risk, past performance, small business, price, each with subfactors, each with page limits. Every competent offeror scores Acceptable on most of them, the evaluators spend weeks documenting non-differences, and the decision comes down to one or two things that could have been the whole evaluation. The discipline is to ask, for each candidate factor: will credible offerors differ on this, does the difference matter to performance, and can evaluators tell the difference from a proposal. Three to five factors that discriminate beat ten that do not. Past performance and price are nearly always among them; the technical factors should be the two or three things that actually drive success on this requirement.

What Section M Must State

- **The basis for award** Tradeoff or LPTA, in words the FAR recognizes.
- **All factors and significant subfactors** Nothing may be evaluated that is not stated, and everything stated must be evaluated.
- **Relative importance** Of factors to each other, and of all non-price factors combined to price ("significantly more important than," "approximately equal to," and so on).

- **How each factor will be evaluated** What the government is looking for, in enough detail that offerors know what to propose and evaluators know what to score.
- **How price will be evaluated** Total evaluated price including options; realism or reasonableness analysis; any evaluation adjustments.
- **Past performance approach** Relevance and recency criteria; what sources will be used; how offerors with no record will be treated (neutrally).

SECTION M IS READ BY THE LOSING OFFEROR'S LAWYER

Section M is read by the offerors more carefully than by anyone in the government. They build their proposals to it, sentence by sentence, and they build their protests to it too. Every word is a commitment. A subfactor mentioned in Section M and forgotten in the evaluation is a sustained protest. A strength awarded for something Section M did not ask for is a sustained protest. Write Section M as if the losing offeror's lawyer will read it next to the evaluation report, because they will.

Section L: Getting Proposals You Can Evaluate

Section L tells offerors how to prepare the proposal: volumes (technical, past performance, price, and often a contracts volume), page limits, formats, what to include where, and how to submit. It must be consistent with Section M: if Section M evaluates transition approach, Section L must tell offerors where to describe it and give enough pages to do so. Page limits should match what evaluators can read and what the factor needs; a 200-page technical volume for a routine service produces 200 pages of boilerplate. Section L should also specify the past performance submission (how many references, what form, what period) and the price format (a spreadsheet template the price team can evaluate without rebuilding). Every ambiguity in Section L becomes a question during the Q&A period and an amendment.

One sentence to teach your team: **build the solicitation backward from the decision, with a few factors that actually discriminate, a Section M that states exactly how they will be weighed, a Section L that produces proposals the evaluators can score, and a plan written before either.**

INTERMEDIATE

The Draft RFP: Cheap Insurance

For any competition of size, releasing a draft RFP for industry comment before the final one is the single best protest-prevention step available. Industry reads the draft the way it will read the final: for ambiguity, for infeasible requirements, for evaluation factors that do not match the work, for page limits that do not fit, for a NAICS that is wrong. The comments arrive before anything is locked. The government fixes what is worth fixing, explains what it will not change, and releases a final RFP that has already survived a hostile reading. The cost is a few weeks. The benefit is fewer amendments, fewer questions, fewer protests, and proposals that respond to what the government meant. It also signals to industry that the competition is real, which improves the field.

Past Performance: Designing the Evaluation

Past performance is usually a major factor and usually poorly designed. The design questions: what counts as relevant (scope, magnitude, complexity, recency, and how each is defined), how many references may be submitted and by whom (prime, subs, key personnel), what sources the government will use (CPARS, questionnaires, its own knowledge, and whether it will consider information the offeror did not submit), how the ratings will be assigned (relevance and quality combined into a confidence rating), and how an offeror with no relevant record is treated (neutrally, by regulation). A solicitation that says "past performance will be evaluated" and nothing more invites a protest from any offeror whose record was judged by criteria it could not see.

Rating Scales and What They Mean

SCALE	USED FOR	DEFINITIONS
Combined technical/risk (Outstanding to Unacceptable)	Technical factors	Based on the strengths, weaknesses, and deficiencies found and the risk of unsuccessful performance
Technical (Outstanding to Unacceptable) plus separate risk (Low to High)	Technical factors where risk is evaluated separately	Quality of the approach and the likelihood of disruption or cost growth
Past performance confidence (Substantial to No Confidence, plus Neutral)	Past performance	Relevance and quality of the record combined into the government's confidence in successful performance
Acceptable / Unacceptable	LPTA factors and pass/fail items	Meets the stated minimum or does not
Price	Price	Not rated; evaluated for reasonableness and, where stated, realism; total evaluated price computed per Section M

Discussions or Not: A Decision With Consequences

The solicitation states whether the government intends to award without discussions or to conduct them. Award without discussions is faster and appropriate when proposals are expected to be clear and complete; it means the government evaluates what was submitted and cannot let offerors fix weaknesses. Discussions require establishing a competitive range, notifying each offeror in it of its significant weaknesses and deficiencies, allowing revisions, and treating all offerors equally in the exchanges. Discussions improve the offers and add months. The choice should be stated in the solicitation and the source selection plan and then followed; announcing award without discussions and then holding them with one offeror is a classic sustained protest.

What GAO Sustains: Building for the Review

GAO sustains a minority of protests, and the sustained ones cluster around a few errors the solicitation and plan could have prevented. Unstated evaluation criteria: rewarding or penalizing something Section M did not identify. Unequal treatment: evaluating the same feature as a strength for one offeror and not another, or holding offerors to different standards. Inadequate documentation: an evaluation record that does not explain the ratings, or a source selection decision that does not explain the tradeoff. Mechanical tradeoffs: awarding to the higher-rated offer without explaining why the benefits were worth the price, or to the lower-priced without explaining why the other's advantages were not. Unreasonable evaluations: findings the record contradicts. Each of these is a discipline that begins with a clear Section M, a plan that trains evaluators to document findings against the stated criteria, and an SSA who writes the decision in comparative terms.

Price Evaluation Design

Section M has to say how price will be evaluated, and the design choices matter. Total evaluated price should include all options (and the government must evaluate options to exercise them later). On fixed-price work, price reasonableness is the standard, usually established by competition, with price realism analysis only if the solicitation says so (and if it does, an unrealistically low price can be a risk finding or a basis for rejection). On cost-type work, cost realism is required: the government adjusts each proposal to its probable cost, evaluates on that, and the adjustment is a technical judgment that must be documented. Unbalanced pricing analysis catches offers with some CLINs overpriced and others underpriced. A price evaluation method not stated in Section M cannot be used, and one that is stated must be.

The Evaluation, Designed to Be Defended

The practices that produce a record that survives.

Train the evaluators on Section M PREP

Before proposals arrive: what each factor means, the rating definitions, how to write a finding.

Evaluators who have not read Section M evaluate what they personally think matters, which is the unstated-criteria protest.

Findings tied to proposal pages and Section M language RECORD

Each strength, weakness, and deficiency cites where in the proposal and which factor.

The record is what GAO reads. Ratings without findings are unsupported.

Consistency review across offerors EQUAL TREATMENT

Before consensus: the same feature rated the same way for everyone.

A single evaluator or the CO reads across proposals for parity.

Comparative source selection decision **DECISION**

The SSA explains, in the SSA's own words, why the awardee's advantages are worth its price, or why the lower price prevails.

Not a restatement of ratings. A comparison.

Debriefs that match the record **AFTER**

Debriefs give each offeror its ratings, significant weaknesses, and the rationale, consistent with the evaluation documents.

A debrief that contradicts the record is discovered in the protest file.

WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY

They write the source selection plan before Section M and Section M before Section L. They choose a few factors that discriminate. They release a draft RFP and read the comments seriously. They design the past performance and price evaluations explicitly. They train evaluators on the criteria and require findings tied to the record. And they write the decision as a comparison, because that is what the solicitation promised.

BUILD ON THIS

- **Source Selection** The process from evaluation to award
- **Section L vs. Section M** How offerors read what you wrote
- **Competing in Source Selection** Evaluation vocabulary and the protest clock from the bidder's side

Key Terms

Source Selection Plan (SSP)

The internal government document describing how proposals will be evaluated: the organization, the roles, the factors and their weights, the rating method, and the schedule. Approved before the RFP is released; not shared with industry.

Section L

Instructions, conditions, and notices to offerors: how to prepare and submit the proposal, volumes, page limits, formats. Must be consistent with Section M.

Section M

Evaluation factors for award: what will be evaluated, how, and the relative importance of factors, including how non-price factors compare to price. The offerors' map to what matters.

Best Value Continuum

The range from lowest price technically acceptable (LPTA), where price decides among acceptable offers, to tradeoff, where the government may pay more for more. The solicitation states where on the continuum the award will be made.

Evaluation Factor

An aspect of the proposal the government evaluates: technical approach, management, past performance, small business participation, price. Each has subfactors, a rating scale, and a defined method.

Adjectival Ratings

The scale used to summarize evaluation findings: for DoD, typically Outstanding, Good, Acceptable, Marginal, Unacceptable for technical factors, with separate risk ratings and past performance confidence ratings.

Discriminator

A factor or subfactor that will actually separate offerors. Factors on which every competent offeror will score the same are not discriminators and add evaluation burden without decision value.

Draft RFP

A pre-release version of the solicitation published for industry comment. Surfaces ambiguities, infeasible requirements, and evaluation problems before they become amendments or protests.

Source Selection Authority (SSA)

The official who makes the award decision, based on the evaluation and their own comparative assessment. Must document the tradeoff rationale in a source selection decision document.

Consistency Rule

The principle, enforced by GAO, that the government must evaluate proposals against the stated factors, apply them as stated, and treat offerors equally. Deviations are the most common sustained protest ground.

Knowledge Check

In what order should the source selection plan, Section M, and Section L be written?

A. L, M, plan

✓ **B. Plan, then M, then L**

C. M, L, plan

D. Any order

WHY

The plan defines how the decision is made; Section M states it to industry; Section L produces proposals the plan can evaluate.

What may the government do under a tradeoff basis that it cannot do under LPTA?

A. Reject unacceptable offers

✓ **B. Award to a higher-priced offer whose additional benefits are worth the difference, with a documented rationale**

C. Evaluate past performance

D. Hold discussions

WHY

Tradeoff permits paying more for more; LPTA awards to the lowest-priced acceptable offer.

What makes an evaluation factor a "discriminator"?

A. It is required by the FAR

✓ **B. Credible offerors will differ on it, the difference matters to performance, and evaluators can tell from a proposal**

C. It has the most subfactors

D. It is about price

WHY

Factors on which every competent offeror scores the same add burden without decision value.

The government awards a strength for a feature Section M did not identify. What is the likely protest outcome?

A. Denied; strengths are discretionary

✓ **B. Sustained; evaluating on unstated criteria is among the most common sustained grounds**

C. Dismissed as untimely

D. Denied if the awardee is small

WHY

The consistency rule: evaluate against the stated factors as stated.

What is the purpose of a draft RFP?

A. To award early

✓ **B. To get industry comment on ambiguity, feasibility, and evaluation problems before the final RFP is locked**

C. To satisfy a FAR requirement

D. To replace market research

WHY

A draft RFP is the cheapest protest-prevention step available.

How must an offeror with no relevant past performance record be rated?

A. Unacceptable

✓ **B. Neutrally, neither favorably nor unfavorably**

C. Marginal

D. Excluded from the competitive range

WHY

The FAR requires neutral treatment. Section M should say how it will be applied.

The solicitation says the government intends to award without discussions. The government then exchanges clarifications with one offeror that allow it to revise a weakness. What is this?

A. A permitted clarification

✓ **B. Discussions with one offeror, a classic sustained protest ground**

C. A competitive range determination

D. A debrief

WHY

Exchanges that allow revision are discussions and must be held with all offerors in the competitive range.

On a cost-type competition, what must the price evaluation include?

A. Only reasonableness

✓ **B. Cost realism: adjusting each proposal to its probable cost and evaluating on that, with documented technical judgment**

C. Price realism only if stated

D. Nothing; cost is not evaluated

WHY

Cost realism is required on cost-reimbursement competitions; price realism on fixed-price is only if the solicitation provides for it.

Which DoD constraint applies to using LPTA?

A. None

✓ **B. LPTA may be used only when specific conditions are met and documented, and is barred for certain categories of acquisition**

C. LPTA is required for services

D. LPTA is required above \$10M

WHY

Statute and DFARS restrict LPTA in DoD, including for some knowledge-based and cybersecurity acquisitions.

Match the rating scale to its use:

CORRECT MATCHES

Outstanding to Unacceptable	Technical factors
Substantial to No Confidence, plus Neutral	Past performance
Acceptable / Unacceptable	LPTA and pass/fail items
Not rated; evaluated for reasonableness and realism	Price

WHY

Adjectival ratings for technical; confidence ratings for past performance; acceptable/unacceptable for LPTA; price is not rated.

Order the steps to a defensible evaluation:

CORRECT ORDER

1. Train evaluators on Section M and the rating definitions
2. Document findings tied to proposal pages and stated factors
3. Review across offerors for equal treatment
4. Write a comparative source selection decision
5. Debrief consistently with the evaluation record

WHY

Train evaluators, tie findings to the record, review for consistency, write a comparative decision, then debrief consistently with the record.

What must a source selection decision document contain under a tradeoff basis?

A. A restatement of the ratings

✓ **B. The SSA's comparative rationale: why the awardee's advantages are worth its price, or why the lower price prevails**

C. The IGCE

D. The contractor's proposal

WHY

Mechanical tradeoffs that do not explain the comparison are a sustained protest ground.

The PM and CO Partnership: Being the Customer Contracting Wants

22 min

The relationship that decides whether an acquisition is fast or slow. What the contracting officer is accountable for, what the program manager owns, what each needs from the other and when, the requirements package as a handoff, the meetings that prevent package returns, and the habits of program offices whose acquisitions move.

Two Offices, One Acquisition

Every acquisition is run by two organizations that report to different bosses, are measured on different things, and need each other completely. The requiring activity has the need, the money, and the technical knowledge. The contracting activity has the warrant, the process, and the accountability for legality. When they work as one team, the acquisition moves. When they work as customer and vendor, or worse as adversaries, it stalls, and each blames the other. This lesson is about the relationship: what each side is accountable for, what each needs from the other, and the habits that make the partnership work. It is written for the PM, because the PM is the side that can change first.

IN PLAIN TERMS

Think of a tax preparer. You own the facts: income, receipts, what happened this year. The preparer signs the return and answers for it if it is wrong, which is why they ask for the receipt instead of taking your word. Clients who hand over organized records early get done first. The PM is the client who owns the need, and the CO (contracting officer) is the preparer whose signature carries the legal risk.

Who Owns What

ELEMENT	REQUIRING ACTIVITY (PM)	CONTRACTING ACTIVITY (CO)
The need and the requirement	Owens: defines, writes, and defends it	Reviews for contractual defects; cannot write it
Funding	Owens: identifies, certifies, and commits it	Cannot solicit without it
IGCE	Owens: builds and documents it	Uses it for price evaluation; may challenge it
Market research	Shared: PM provides technical judgment; CO runs the formal process	Shared: documents and applies it
Acquisition strategy	Shared: PM brings program needs	Shared: CO brings contracting judgment; approves the plan
Solicitation	Provides the requirement, technical evaluation criteria, and evaluators	Owens: drafts, releases, amends
Evaluation	Provides technical and past performance evaluators	Owens the process; CO or SSA decides
Award and administration	Provides the COR; owns technical oversight	Owens: signs, modifies, enforces

What the CO Is Accountable For, and Why That Explains the "No"

A contracting officer holds a warrant that makes them personally accountable for the legality of every action they sign. Not the agency: the person. If a sole-source award is improperly justified, a competition is unfairly run, a contract type is used without the required D&F, or funds are obligated improperly, the CO's name is on it, and the consequences range from a lost protest to a referral. That is why the CO asks for the J&A to be rewritten, refuses to release a solicitation with personal services language, and will not accept a package without certified funds. A PM who understands that the CO is protecting the acquisition, and the PM, from the consequences of a defect gets a partner. One who experiences every "no" as obstruction gets a process.

What the PM Is Accountable For, and Why the CO Needs It

The PM owns the need, and the CO cannot substitute for that ownership. The CO does not know what the program requires, what the market looks like technically, what the work should cost, or which offer would perform best. Every one of those judgments comes from the requiring activity, in writing, on time. A CO handed a vague requirement writes a vague solicitation; handed a wrong IGCE, runs a competition that cannot be funded; handed evaluators who have not read Section M, gets an evaluation that cannot be defended. The CO's process is only as good as the PM's inputs, and the CO knows it, which is why the package review is strict.

REAL TALK

Your contracting officer has a queue, and your acquisition is in it with twenty others. The ones that move are the ones whose packages do not bounce back and whose PMs answer a question the same day instead of next Tuesday. This is not favoritism and it is not about who likes whom. It is the only way a human being can manage a queue. You cannot jump the line by being important. You can absolutely jump it by being easy to work with, which is a much cheaper thing to be.

What the CO Needs From the PM, and When

- **Early: a conversation about the strategy** Before anything is written. What is being bought, when it is needed, what the money looks like, what the market is thought to be. This meeting shapes everything.
- **Then: market research participation** Technical review of sources sought responses; attendance at industry day; honest capability judgments.
- **Then: a complete package** Requirement, IGCE, market research, funding, justifications, evaluation input, special requirements, all consistent with each other.
- **During solicitation: fast answers** Industry questions need technical answers within days, not weeks. Amendments wait on the PM.
- **During evaluation: trained evaluators who show up** Technical evaluators who have read Section M, who document findings, and who are available for the schedule.
- **Before award: a trained COR** Nominated during pre-award, certified before award, ready to administer on day one.
- **Throughout: one point of contact and no surprises** A named person who speaks for the requiring activity, and early notice of any change in requirement, funding, or schedule.

The Package as a Handoff, Not a Submission

The requirements package is where most PM-CO relationships are made or broken. Treated as a submission, it is assembled at the last minute, sent, and returned with a list of defects, then resent, then returned again. Treated as a handoff, it is built with the contract specialist reviewing drafts as they develop, so that by the time it is formally submitted, the contracting office has already seen every piece and knows it is complete. Program offices that work this way report PALT far below the average, because the clock starts on a package that does not come back. The Timeline lesson listed what "complete" means. The practice is to review each element with the specialist before it is final.

EXAMPLE (ILLUSTRATIVE)

Two program offices send similar packages to the same contracting office. Office A assembles its package in the final week and submits it. It comes back for a mismatched IGCE (independent government cost estimate), then for missing funding certification, then for personal services language in the PWS (performance work statement). Three returns at about three weeks each is $3 \times 3 = 9$ weeks lost before the real clock starts. Office B sends each piece to the contract specialist as a draft: the PWS in month one, the IGCE in month two, market research and funding as they firm up. By formal submission the specialist has seen everything. The package is accepted the first time, and the clock starts that day.

One sentence to teach your team: **the CO is personally accountable for legality and the PM is accountable for the need, so the acquisition moves when the PM hands over a complete, consistent package early, answers fast, and treats the CO's "no" as protection rather than obstruction.**

INTERMEDIATE

The Meetings That Prevent Returns

Three meetings, held on purpose, remove most package returns. The acquisition strategy meeting, early, where the PM and CO decide competition, type, vehicle, and schedule together and write it down. The package pre-review, two to four weeks before submission, where the contract specialist reads the draft requirement, IGCE, and market research and flags what would come back. And the evaluation kickoff, before proposals arrive, where the CO trains the technical evaluators on Section M and the rating process. Each takes an hour or two. Program offices that skip them spend the time in returns and rework, with worse results.

The Milestone Schedule Agreement

PALT is a shared number, not a contracting-office number, and the way to share it is a dated schedule both sides sign. From the acquisition strategy meeting: package submission date (PM), package acceptance (CO), solicitation release (CO, after PM provides the requirement and evaluation input by a date), proposal due date, evaluation complete (PM's evaluators by a date), award (CO). Each milestone has an owner. When the PM's evaluators are late, the schedule shows it; when the contracting office's review board slips, the schedule shows that too. The agreement turns "why is this taking so long" into a specific conversation about a specific milestone and its owner.

Common Friction Points and How to Handle Them

FRICTION	WHAT IS USUALLY HAPPENING	WHAT WORKS
"Contracting is slow"	The package came back, or the queue is deep, or a review board is scheduled	Ask which milestone is late and who owns it; fix the PM-side causes first
"The PM keeps changing the requirement"	The program did not finish thinking before submitting	Freeze the requirement at package submission; changes after that restart the clock and the PM should say so to leadership
"The CO will not let us sole source"	The J&A does not meet a statutory exception	Rewrite it to the facts, or accept competition; the CO cannot sign what the law does not allow
"The IGCE is too low / proposals are too high"	Government salaries used, or scope grew	Rebuild the IGCE at burdened rates; find funding or descope
"The evaluators are not available"	The PM assigned people who have other jobs	Assign evaluators with their supervisors' commitment to the schedule
"We got a protest"	Usually an evaluation or solicitation defect, sometimes unavoidable	Support the CO with the record; do not communicate with offerors

The COR Handoff

Pre-award ends with award, and the relationship with the CO continues through the COR. The COR should be nominated during pre-award, trained and certified before award, involved in writing the QASP (the COR is the one who will execute it), and present at the post-award kickoff with the contractor. A COR appointed after award, handed a QASP they did not write, is the start of most contract administration problems. The Contract Administration lesson in the Contracting module covers the COR's role; the pre-award task is to have that person ready.

ADVANCED

Contractors and the PM-CO Relationship

From the outside, a contractor sees the relationship in how the acquisition behaves. Consistent messages from the program office and the contracting office, a draft RFP that matches the industry day, a solicitation that reflects the market research, and fast answers to questions all signal a functioning partnership and a competition worth investing in. Contradictions between what the PM said at the industry day and what the CO wrote in Section M, long silences, and repeated amendments signal the opposite. Capture teams weigh this in bid decisions. For the government, the point is that the partnership's quality is visible to the market, and a good field of offerors is one of the things it produces.

When the Relationship Is Broken

Sometimes it is not working: a contracting office that returns packages without explanation, a program office that changes requirements weekly, or personalities that cannot cooperate. The remedies, in order: a

direct conversation between the PM and CO about what each needs; the milestone schedule agreement, which makes the problem specific; escalation to the chief of the contracting office and the program's leadership together, with the schedule as the exhibit; and, for large or urgent acquisitions, the option of assisted acquisition through another contracting office. What does not work is going around the CO to the contractor, or escalating without a specific, documented problem. Senior PMs fix the relationship before they need it, because an acquisition in trouble is the worst time to build one.

Habits of Program Offices Whose Acquisitions Move

Observed across contracting offices that track PALT by customer.

They talk to contracting first **EARLY**

The strategy meeting happens before the requirement is drafted, not after the package is rejected.

The CO shapes the approach when it can still be shaped.

Their packages arrive complete **PACKAGE**

Pre-reviewed with the specialist; consistent across requirement, IGCE, and market research.

The clock starts once.

They answer the same day **RESPONSIVE**

Industry questions, evaluator availability, funding confirmations.

Contracting offices route work to the customers who unblock it.

They freeze the requirement **DISCIPLINE**

Changes after package submission are rare, deliberate, and acknowledged as schedule resets.

And the PM explains the reset to leadership, not the CO.

They have the COR ready **HANDOFF**

Nominated, trained, and part of the QASP before award.

The relationship with the CO continues without a gap.

WHAT SENIOR GOVERNMENT PMS DO DIFFERENTLY

They hold the strategy meeting first. They build the package with the specialist reviewing as they go. They sign a milestone schedule with the CO and hold both sides to it. They answer fast and freeze the requirement. They have the COR ready before award. And they treat the CO's accountability as the reason the CO is careful, and their own accountability as the reason to make the CO's job easy.

BUILD ON THIS

- **From Validated Need to Award** The timeline the partnership manages
- **Who's Who in Defense Acquisition** The PM-CO relationship as the engine of every program
- **Contract Administration & COR** The COR's role after award

Key Terms

Contracting Officer's Warrant

The written authority that lets a CO obligate the government, up to a dollar limit. The CO is personally accountable for the legality of every action under it, which is why the CO says no to things the PM wants.

Contract Specialist

The contracting professional who does most of the daily work on an acquisition under the CO's supervision: drafting, coordinating, reviewing. Often the PM's daily contact.

Requiring Activity

The organization with the need and the money. Owns the requirement, the IGCE, the funding, the technical evaluation, and post-award technical oversight through the COR.

Contracting Activity

The organization with the warrant. Owns the solicitation, the evaluation process, the award, and post-award contract administration.

Requirements Package

The handoff from the requiring activity to the contracting activity. Its completeness determines whether the PALT clock starts or the package comes back.

Package Return

The contracting office sending a requirements package back for correction. Each return adds weeks and is the largest controllable source of pre-award delay.

Acquisition Strategy Meeting

The early working session where the PM and CO decide the approach together: competition, type, vehicle, schedule. The meeting that prevents most later disagreements.

Contracting Officer's Representative (COR)

The requiring activity's designated technical monitor after award, nominated during pre-award and trained before award. The PM's successor in the relationship with the CO.

Contract Review Board / Business Clearance

The contracting activity's internal review before solicitation and award. A scheduled gate the PM must plan for.

Milestone Schedule Agreement

The dated schedule the PM and CO agree to for the acquisition, from package submission through award, with each side's deliverables. The document that makes PALT a shared commitment.

Knowledge Check

Why is a contracting officer personally careful about the legality of each action?

- A. Because the PM is not
- ✓ **B. Because the CO holds a warrant that makes them personally accountable for every action they sign**
- C. Because DCAA audits them
- D. Because they are paid by the action

WHY

The warrant is personal accountability, which is why the CO says no to defective packages and unjustified sole sources.

Which of these does the requiring activity own?

- A. The solicitation release
- ✓ **B. The requirement, the IGCE, the funding, and the technical evaluators**
- C. The award signature
- D. Contract modifications

WHY

The PM owns the need and everything that expresses it; the CO owns the acquisition process.

What is the largest controllable source of pre-award delay?

- A. Protests
- ✓ **B. Requirements packages returned for correction**
- C. Industry day scheduling
- D. Debriefs

WHY

Each return adds weeks. Building the package with the specialist reviewing drafts prevents returns.

What is the purpose of the acquisition strategy meeting?

A. To brief the contractor

✓ **B. For the PM and CO to decide competition, type, vehicle, and schedule together before anything is written**

C. To approve the award

D. To train the COR

WHY

The early meeting shapes the approach when it can still be shaped and prevents later disagreements.

What is a milestone schedule agreement?

A. The contractor's IMS

✓ **B. A dated acquisition schedule with an owner for each milestone, signed by the PM and CO, that makes PALT a shared commitment**

C. The program's acquisition program baseline

D. A DAU course

WHY

It turns "why is it slow" into a specific conversation about a specific milestone and its owner.

The PM changes the requirement two weeks after package submission. What is the correct handling?

A. Contracting absorbs it silently

✓ **B. Acknowledge it as a schedule reset and explain the reset to leadership; changes after submission restart the clock**

C. Blame the CO for the delay

D. Award anyway

WHY

Freezing the requirement at submission is the discipline. When a change is necessary, the PM owns the reset.

When should the COR be nominated and trained?

A. After award

✓ **B. During pre-award, certified before award, and involved in writing the QASP**

C. At the first invoice

D. When problems arise

WHY

A COR appointed after award and handed a QASP they did not write is the start of most administration problems.

A CO refuses to sign a sole-source J&A. What is the productive response?

A. Escalate immediately

✓ **B. Rewrite the J&A to the statutory exception and the facts, or accept competition; the CO cannot sign what the law does not allow**

C. Go to the contractor directly

D. Submit it to a different CO

WHY

The CO is protecting the acquisition. The J&A lesson covers what survives review.

How does a contractor perceive a good PM-CO partnership?

A. It cannot

✓ **B. Through consistent messages, a draft RFP matching the industry day, a solicitation reflecting market research, and fast answers**

C. Through lower prices

D. Through sole-source awards

WHY

The partnership's quality is visible to the market and improves the field of offerors.

Match the friction to what works:

CORRECT MATCHES

"Contracting is slow"	Identify which milestone is late and who owns it
"The PM keeps changing the requirement"	Freeze at submission; acknowledge resets
"The CO will not sign the J&A"	Rewrite it to the statutory exception and the facts
"Proposals came in above the IGCE"	Rebuild the IGCE at burdened rates; find funding or descope

WHY

Slow contracting: find the late milestone and its owner. Changing requirement: freeze and own the reset. Refused sole source: rewrite to the facts. Low IGCE: rebuild at burdened rates.

Order the three meetings that prevent package returns:

CORRECT ORDER

1. Acquisition strategy meeting with the CO
2. Package pre-review with the contract specialist
3. Evaluation kickoff to train evaluators on Section M

WHY

Strategy meeting early, package pre-review before submission, evaluation kickoff before proposals arrive.

What does NOT work when the PM-CO relationship is broken?

- A. A direct conversation about what each needs
- B. A milestone schedule agreement
- ✓ C. Going around the CO to the contractor, or escalating without a specific documented problem
- D. Joint escalation with the schedule as the exhibit

WHY

Contact with the contractor outside the CO creates legal exposure; escalation without specifics produces nothing.

Module Assessment

Pass this to unlock the next skill level in the app.

Knowledge Check

When does the contracting office's PALT clock start?

- A. When the need is identified
- ✓ **B. When a complete requirements package reaches contracting**
- C. At solicitation release
- D. At fiscal year start

WHY

PALT measures from an actionable package to award. Returns for correction delay the start.

Which decisions in the acquisition plan most constrain everything after it?

- A. Formatting and length
- ✓ **B. Competition, contract type, vehicle, source selection approach, and data rights**
- C. Invoice format
- D. Office assignments

WHY

These five decisions determine who competes, who bears risk, and who can compete sustainment.

The Rule of Two is a judgment about:

- A. The number of responses received
- ✓ **B. Whether at least two responsible small businesses are credibly capable of performing at fair prices**
- C. Whether two large firms exist
- D. The number of vehicles

WHY

Capability, not interest. The reasoning goes in the market research report.

Which is a measurable performance standard?

- A. "Provide responsive support"
- ✓ **B. "Resolve priority 2 tickets within 4 business hours, from the ticketing system, 95% per month"**
- C. "Maintain quality"
- D. "Support as required"

WHY

Metric, threshold, AQL, and a data source the government can access.

The most common IGCE error on services is:

- A. Too few CLINs
- ✓ **B. Pricing contractor labor at government salaries instead of burdened market rates**
- C. Including transition costs
- D. Using GSA rates

WHY

Contractor labor bills at two to three times base salary once burdens and profit are added.

Which of these satisfies the "only one responsible source" exception?

- A. The incumbent knows the program
- ✓ **B. Proprietary data the government lacks rights to means only the OEM can perform, documented with market research**
- C. The customer prefers the incumbent
- D. Time is short

WHY

Uniqueness must be demonstrated with facts. Preference and time pressure are not exceptions.

A J&A citing urgency because the follow-on competition is not ready before the incumbent contract expires is:

A. A valid urgency

✓ **B. A bridge justification reflecting planning failure, scrutinized and posted publicly**

C. A national security exception

D. Exempt from review

WHY

Lack of advance planning is not urgency.

Services requirements above thresholds are validated by:

A. A milestone decision

✓ **B. A services requirements review board**

C. DCAA

D. A source selection

WHY

Services have no milestones; the SRRB checks need, approach, funding, and inherently governmental issues.

When is DoD's fixed-price preference most likely wrong?

A. Routine services

B. Stable production

✓ **C. Development with real technical uncertainty**

D. Commercial items

WHY

Fixed-price development on immature technology has produced large losses and failed programs.

An order under a vehicle for work outside the base contract's scope is:

- A. Routine
- ✓ **B. An improper sole-source award, protestable and an audit finding**
- C. A fair opportunity exception
- D. Permitted if under \$1M

WHY

Scope stretching is the most common vehicle misuse.

Evaluating a proposal on a criterion not stated in Section M is:

- A. Discretionary
- ✓ **B. Among the most common sustained protest grounds**
- C. Permitted for strengths
- D. Required

WHY

The consistency rule: evaluate against the stated factors as stated, equally.

The largest controllable source of pre-award delay is:

- A. Protests
- ✓ **B. Requirements packages returned for correction**
- C. Industry days
- D. Debriefs

WHY

Building the package with the contract specialist reviewing drafts prevents returns.